



SECURED SUCCESS



ANNUAL REPORT 2022



SECURED SUCCESS

The troubled waters of the year 2022 tested our resilience and vision. We secured success amidst overwhelming challenges through implementing responsive, far-seeing strategies calculated to allow all our stakeholders reap benefits in the short, medium and long term. Our quest for viable growth hinges on data driven service offering, our future readiness and risk mitigation framework. The future looks promising in spite of the challenges, and we will continue to march forward and secure success for the Company and all our stakeholders.

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VISION

"Committed to providing peace of mind through World Class Takaful solutions"



MISSION

"We will stand apart from the rest by engaging all stakeholders, crafting unique insurance solutions, in a spirit of mutuality and solidarity"



VALUES

CUSTOMER CENTERED:

Interaction with Customers.
We LISTEN to our customers and go the EXTRA MILE to SERVE them

OPEN MINDEDNESS:

Changing the Status Quo, seeking new ideas.
We FOSTER a culture where IDEAS and OPINIONS are shared freely

RISE FOR QUALITY:

A culture of continuous improvement.
We are DRIVEN to give all stakeholders a QUALITY service

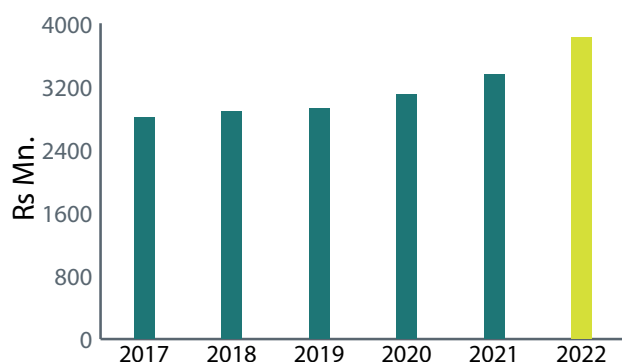
DIVERSITY:

Our soul and spirit
To every Sri Lankan, as one

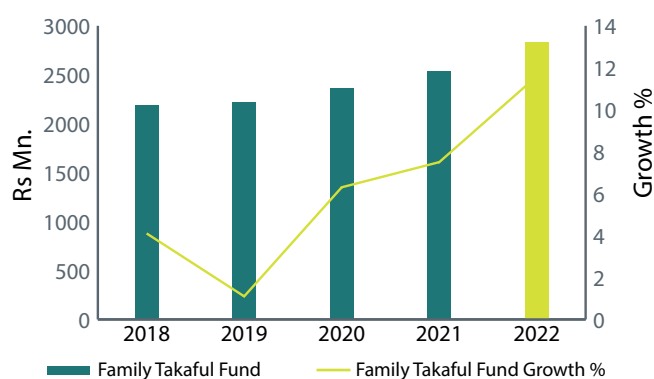
FINANCIAL HIGHLIGHTS

	2022 (Rs Mn)	2021 (Rs Mn)	Growth
Total Gross Written Premium	1,061	930	14.09%
Profit/(Loss) After Tax	54	10	465.87%
Earnings per share (Rs.)	1.08	0.19	468.42%
Financial Investments	3,475	3,002	15.75%
Total Assets	3,821	3,350	14.05%
Net Assets Value per Share (Rs.)	10.9	9.7	12.37%
Return on Equity	0.11	0.02	465.89%
Life (Family Takaful) Fund - Family Takaful	357	396	-10.18%
- Unit Linked	2474	2150	15.05%
Total Life (Family Takaful)	2830	2547	11.11%
No. of Employees	97	94	3.19%
No. of Agents	464	343	35.28%
No. of Branches/Distribution Centres	31	31	0.00%

Total Assets



Family Takaful Fund



PRODUCT PORTFOLIO

FAMILY PROTECTION PLAN

Life is uncertain and we need to be prepared to face any misfortune. Amana Life's Family Protection Plan is a Life cover affordably packaged to enable the policy holder and their family to face misfortunes and unavoidable circumstances. This plan is tailor-made to suit the individual needs with a host of benefits including hospitalisation and critical illness cover. The money is judiciously invested to provide larger returns as well.

AMANA LIFE FAMILY PROTECTION PLAN



CHILD EDUCATION PLAN

Child Education Plan is a long-term protection and saving plan that helps the policyholders to finance their children's education and future with a child health insurance cover. It helps to make every parent's wish of giving their children the best possible education and future, a reality.

AMANA LIFE CHILD EDUCATION PLAN



PRODUCT PORTFOLIO

PLATINUM PLUS PLAN

Platinum Plus Plan is the most comprehensive life and hospitalisation cover from Amana Takaful Life Insurance, that's the best in its class. This plan offers unparalleled extensive health protection benefits, designed with you and your family at the helm of it, and will bring about a sense of stability by offering financial protection, that is convenient and hassle free while supporting you at the time of need.

AMANA
LIFE
PLATINUM PLUS PLAN



PLATINUM PLAN

Platinum Plan has been designed to suit those who want to provide the best money can buy to their dearest ones. Not only does it meet one's protection needs in terms of death, critical illness and accident, but it also includes a comprehensive hospitalisation cover for the policyholder and the family

AMANA
LIFE
PLATINUM PLAN



GROUP LIFE PLAN

An untimely death, accident or disability can take away a valuable employee and their contribution to a company, not to mention the devastation caused to the employee's family. Amana Takaful Life Insurance offers the opportunity to secure the health and well-being of the employees, so that they can work with peace of mind, knowing that they will be taken care of in the event of a tragedy.

AMANA LIFE GROUP LIFE PLAN



RETIREMENT PLAN

This retirement plan caters to the ever-growing demand for a financial plan that secures the financial security of customers in their golden years. It paves the way for one to save regularly between the ages of 18 to 55 and thereafter enjoy an increasing monthly pension payment.

AMANA LIFE RETIREMENT PLAN



PRODUCT PORTFOLIO

PURE LIFE PLAN

Life doesn't always flow seamlessly. In an unexpected moment it can come to a sudden halt. That is the nature of life and is true for each of us. Have you considered the fate of your loved ones in such an eventuality? Amana Life's Pure Life Plan is a simple cover which offers both natural and accidental death covers and an optional benefit covering for 30 critical illnesses.

AMANA
LIFE

PURE LIFE PLAN



FLEXI LIFE PLAN

For the 1st time in Sri Lanka, our customers have the flexibility to tailor-make their life insurance plan focusing on high life cover or high maturity value, to ensure financial stability of their loved ones. In addition, flexible payment plans, flexible financial returns and flexible investment options are the main benefits given to the customer.

AMANA
LIFE

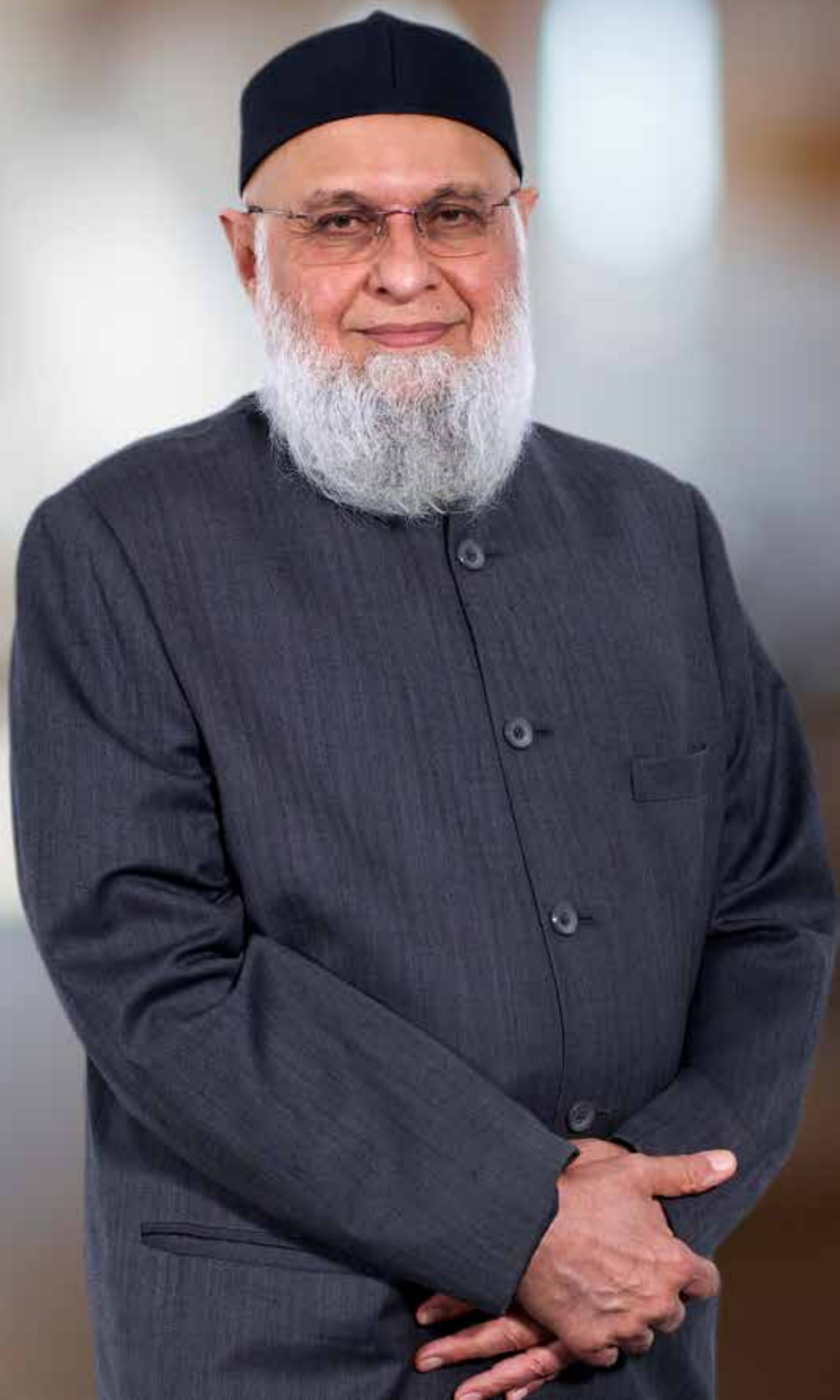
FLEXI LIFE PLAN





LEADERSHIP

CHAIRMAN'S MESSAGE





Our strategy of growth for 2023 will revolve around taking into account the requirements of our stakeholders and seeking growth opportunities from a mutually beneficial perspective. In the meantime, we will look into expanding our product mix as well as our reach to usher in increased stability.

Osman Kassim



The financial, economic and social crisis that prevailed across Sri Lanka for much of 2022 prompted Amana Takaful Life to rely on our inherent values of resilience, resourcefulness and pragmatism to pursue growth objectives amidst considerable external pressure. As such, the Company employed a prudent risk management framework and approached business continuity with a comprehensive and information driven strategy. This approach allowed us to absorb external pressure well and record a commendable financial performance and achieve Company goals for the year 2022. Therefore, I am pleased to present the Annual Report and the Audited Financial Statements of Amana Takaful Life PLC (ATLPLC) for the financial year on behalf of the Board of Directors.

CHAIRMAN'S MESSAGE

Operating Context

Global growth in 2022, decelerated 3.2 % in view of the spillover impact of the COVID-19 crisis, rising cost of living, supply chain disruptions and the geopolitical tension arising from Russia's war on Ukraine. Global financial markets remained unstable during the year under review. In this backdrop, Sri Lanka's own financial crisis, which triggered an economic downturn and social unrest aggravated. This volatile external environment was detrimental to the insurance sector as customers' disposable income dwindled and there were logistical and economic challenges to business continuity in such a chaotic environment. However, post COVID-19 the public's interest in insurance products had increased - a trend that continued in the year 2022. In this context, the insurance industry performed well during the year under review.

Company Performance

In spite of the increased awareness and interest in insurance products, Long-term insurance sector struggled to attract customers given the economic downturn. Mindful of this fact, we implemented a road map to build upon our existing pillars of investment, protection, distribution network and the product portfolio to achieve sustainable success. While we had to adjust the pace of our growth plans for the year in response to the crisis situation, we effectively utilised our existing resources to meet annual objectives.

Our operational strategy to weather the year 2022 hinged on robust stakeholder engagement.

We were well aware of the fact that our employees faced a myriad of challenges in meeting their work commitments given mobility difficulties and economic pressure. In response, we supported our employees through providing necessary logistical support. Moreover, in spite of the financial concerns, we continued to increase remuneration and rewards to employees.

“We will look into expanding our product mix as well as our reach to usher in increased stability.”

Meanwhile, the Company continued to enhance customer service excellence to cater to customer needs and nurture our rapport with the customer base.

Our concentrated efforts resulted in the Company achieving commendable performance as at the end of financial year. Overall, we were able to attain our growth and financial goals while also laying the foundation for future success.

Corporate Governance

Amana Takaful Life PLC consistently maintains a robust corporate governance framework, conducting periodical reviews to introduce necessary changes in line with local and global governance practices. As such, we stringently follow the stipulated rules under corporate governance by the Insurance Regulatory Commission of Sri Lanka complying with the strict criteria established for all the insurance companies. In addition, the Company complies with the rules and regulations for the industry in relation to Anti Money Laundering laws in Sri Lanka and the CSE rules and regulations as a listed Company. Our corporate governance approach sets the tone for the entire Company to conduct operations within the parameters of transparency, integrity and accountability.

Future Outlook

We expect the next two years to present complex and interconnected difficulties in terms of financial, economic and social challenges as the country takes on the challenging journey of recovery. Our strategy of growth for 2023 will revolve around taking into account the requirements of our stakeholders and seeking growth opportunities from a mutually beneficial perspective. In the meantime, we will look into expanding our product mix as well as our reach to usher in increased stability. The Company is well-prepared in terms of knowledge, market reach, experience and resources to face the challenging times ahead with confidence.

Acknowledgment

As we step into a new financial year, I look back into the year 2022 with gratitude. The external challenges tested our innate ability to not only survive but thrive, and we were able to do so with the inspiring guidance of our Board of Directors. I wish to thank our Board members for their leadership. Our CEO and Managing Director led the management team with true insight to lead the Company on a path of success amidst challenges. I am grateful to our team for their dedication and strong work ethics which helped the Company achieve annual goals and lay the foundation for success in the near future. The Sharia Advisory Council provided us with invaluable support throughout the year. I would like to express my sincere gratitude to the council. I am also grateful to the Insurance Regulator and our Reinsurance partners for their invaluable assistance. Our shareholders and customers placed their confidence in our ability to navigate challenges, and I would like to express my sincere appreciation for their unwavering trust. Let us face the difficult time ahead with confidence and seek growth.



Osman Kassim

Chairman

23rd May 2023

CHIEF EXECUTIVE OFFICER'S REVIEW





Amana Takaful Life succeeded in achieving growth objectives for the year 2022 through adopting an insight driven strategy. We engaged in a holistic approach to managing risks during the year under review through taking care of all our stakeholders including customers and employees.

Gehan Rajapakse



Resilience and prudent risk management were the cornerstones of our success during the year 2022. The year unfolded amidst an economic crisis stemming from a combination of the global downturn as well as the local fiscal and economic instability. In this backdrop, Amana Takaful Life adopted a risk aware approach that looked to cater to the requirements of customers while also managing costs to survive the crisis and lay a solid foundation for long-term growth. In spite of external challenges, our crisis management approach allowed the Company to grow and achieve commendable profitability.

CHIEF EXECUTIVE OFFICER'S REVIEW

The Operating Context

We began the year 2022 with optimism post the COVID-19 pandemic. However, a myriad of interconnected external factors soon posed challenges not only to the insurance industry but the country's economy as a whole. Nevertheless, Amana Takaful Life adopted a resilient approach designed to facilitate the Company to navigate external pressure and ensure sustainable growth. As such, the Company managed to achieve growth targets for the year 2022 and create a viable plan to ensure medium and long-term growth.

Company Performance

Amana Takaful Life succeeded in achieving growth objectives for the year 2022 through adopting an insight driven strategy. We engaged in a holistic approach to managing risks during the year under review through taking care of all our stakeholders including customers and employees. The Company posted GWP earnings of Rs 1,061 Mn recording a growth of 14%. While recording a profit after tax of Rs 54.09 Mn, the company was able to perform a Total asset growth of 14.04 %.

Building on the momentum gained in 2019 during which we reinforced our four main pillars; investment, protection, distribution network and the product portfolio. In response to the crisis that prevailed across the country, we adjusted the pace of our growth strategy while remaining in line with the principals and operational steps of growth.

Meanwhile, cost management in a high inflation environment became a priority for the Company during the year under review. We implemented appropriate cost management measures while focusing heavily on enhanced customer service levels. Mindful of the difficulties faced by our employees, we increased our efforts to help employees to continue their work commitments in a pragmatic and flexible manner. In addition, we enabled their growth through timely rewards and remuneration in spite of external challenges. We have always viewed our human resources as a key strength. As such, in spite of the impact of the financial crisis

on our expenses, we chose not to reduce HR expenses, thus ensuring minimal impact on our employees.

Meanwhile, the Company leveraged on the investment opportunity to invest in gold assets in a high inflationary environment to optimise ROI. In this manner, the Company anchored our profit seeking ventures on growth opportunities available to remain steadfast to our short, medium and long-term targets.

The combination of the above strategies enables Amana Takaful Life to not only survive the crisis, but also rise above it to pursue growth.

The Way Forward

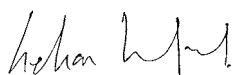
We are well aware of the challenges that the next two financial years will pose as the country looks to recover from the economic downturn. However, we remain committed to attaining our own growth objectives through ensuring operational integrity. We will continue to utilise our resources prudently to match the market demand for insurance products and rely on our expertise and experience to maintain excellent service levels, which has always been a driving factor in the success of Amana Takaful Life. We have already laid out plans to understand and cater to the changing requirements of our customers, and offer them innovative and useful products and services. We will remain focused on achieving profit growth throughout the next few years.

Appreciation

As we conclude a challenging year, I remain grateful to the Board of Directors for the exceptional guidance. I would also like to appreciate the services of our Chairman for his leadership. The management team provided able direction to the entire team to weather the storm sustainably. I am thankful for their commitment. I would also like to express my sincere gratitude to the Sharia Advisory Council for their contribution throughout the year. Our employees persevered to maintain strong work ethics during trying times, and I am grateful for their unwavering support. I

“The Company leveraged on the investment opportunity to invest in gold assets in a high inflationary environment to optimize ROI.”

am sincerely grateful to the Insurance Regulator and our Reinsurance partners for standing by us and providing invaluable support. Our shareholders and customers extended their trust towards us during the year, without which we would not have been able to achieve growth. I am grateful for their support. I would also like to express my gratitude towards our field distribution management team, advisors and team leaders who led the Company from the forefront. Let us continue to seek growth with resilience.



Gehan Rajapakse
Chief Executive Officer
23rd May 2023

BOARD OF DIRECTORS PROFILES



Osman Kassim
**Chairman/Non-Executive
Director**

Mr. Osman Kassim, the visionary and one of the main promoters of Amana Group of Companies, was the Chairman of Amana Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing Islamic finance to Sri Lanka with the setting up of Amana Investments in 1997, whose assets and liabilities were later transferred to Amana Bank PLC in 2011. He has expanded his directorships in Islamic Finance companies overseas as well, where he is a Director at Amana Takaful Maldives. With over 40 years of senior management experience, Kassim was also the Founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse

business activities. He is the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid and he is also the Chairman of Aberdeen Holdings (Private) Limited. He also sits on the Board of Ex-Pack Corrugated Cartons (Private) Limited. He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.



Sharhan Muhseen
**Appointed Deputy Chairman w.e.f
27.04.2023/Independent /Non-
Executive Director**

Sharhan Muhseen is a senior Investment Banker with extensive experience in areas of Mergers and Acquisitions, Corporate Finance and Capital Markets. He has served in a senior capacity working with company boards and senior leadership teams of Financial Institutions across Asia to help drive their strategic agenda and roadmap. Sharhan previously worked in best-in-class global investment banks, Credit Suisse, Bank of America Merrill Lynch and JPMorgan in leading regional coverage roles. His most immediate previous role was as Managing Director, Head of Asia Insurance, Head of South East Asia Financial Institutions Group, and Country Manager Sri Lanka at Credit Suisse based in Singapore. In his Investment Banking career spanning over 20 years, Sharhan has completed landmark mergers and capital raising transactions in excess of USD 100 Bn.

The Asia FIG sector team at Merrill Lynch and Credit Suisse has won the "FIG Asia House of the Year" award and "Best Sri Lanka Investment Bank" from the Asset magazine and Finance



Gehan Rajapakse
Executive Director / CEO

Asia Magazine for multiple years under his leadership. Sharhan is also credited with some leading research reports including reports on Banking sector efficiency, currency depreciation and budget deficit in his role as Head of Sri Lanka Banking sector research coverage and lead Economist at Jardine Flemming. Sharhan has also worked at Standard Chartered Bank in the corporate banking division where he started out as a Management Trainee and at Rodman and Renshaw stock and commodities broker based in Chicago. He has experiences at the policy level working as a Team Leader at the National Council for Economic Development (NCED) under the Ministry of Finance as well as a Director at the TAFREN presidential task force for rebuilding the economy after the 2004 Tsunami. Sharhan holds a Masters in Economics from the University of Colombo, a Bachelor of Business Administration (Hons) from Western Michigan University and has completed the Corporate Finance training with JPMorgan in New York.

Gehan Rajapakse the incumbent Chief Executive Officer of Amana Takaful Life PLC was appointed to the Board on 3rd June 2020. He counts over 25 years of experience in the Financial Services industry with primary focus on Insurance & Asset Management. He commenced his career with CTC Eagle Fund Management Company Ltd in 1992 as a Management Trainee. He has functioned as a General Manager of both the Asset Management business and later the Banc Assurance arm of Aviva NDB PLC. Prior to his appointment as CEO Amana Life, he served as the CEO of LOLC Insurance Co. Ltd. He holds a Master's Degree in Business Administration (MBA) from PIM University of Sri Jayewardenepura and a Bachelor's Degree in Economics (Hon) from the University of Colombo. He is also a Fellow Member of the Chartered Institute of Management Accountants (CIMA) – UK.



Ammar Shafik Kassim
Independent Non-Executive Director

Ammar was appointed to the Board on 7th March 2016. He currently holds the position of Executive Director at Fits Aviation, Sri Lanka's largest private airline.

He has managed a programme of aircraft acquisition fleet standardisation across three global hubs for the airline. He holds a BSc in Economics and an MSc in Management Information Systems from New York University.

BOARD OF DIRECTORS PROFILES



Hassan Kassim
Non-Independent Non-Executive Director

Hassan Kassim is the Managing Director of Amana Takaful PLC, the parent Company. He is the Deputy Chairman/ Chief Operating Officer at Aberdeen Holdings (Private) Limited and the Founder /Director of Expo Commodities Global (Pvt) Ltd.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Hassan Kassim also serves as a member of the Board of Directors of Bio Extracts (Pvt) Ltd, Lanka Commodity Holdings (Pvt) Ltd., Expoceylon Pharmaceuticals (Pvt) Ltd, Expo Commodities Global (Pvt) Ltd, Kolonnawa Property Holdings (Pvt) Ltd, Ruhunu Farms (Pvt) Ltd and Roar Digital (Pvt) Ltd.

Hassan Kassim, was awarded the Young Leader Award at the 26th Asia Insurance Industry Awards (AIIA) 2022. The achievement is an unprecedented feat for Amana Insurance and the Sri Lankan insurance industry as a whole, as Hassan is the only Sri Lankan to have won this Young Leader Award of Asia thus far. Furthermore, this was a rare occurrence, where a Sri Lankan company won an award in this forum after nearly 10 years, and the fact that this was achieved amidst an island wide economic crunch provides great reputational value to both Amana Insurance and Sri Lanka as a whole.



K R Ravindran
Independent Non-Executive Director

K.R. Ravindran, is Co-Founder and CEO of Printcare PLC and serves as a Director in all of the group companies as well as other companies and charitable trusts and Foundations both in Sri Lanka and overseas.

In 2015/16, Ravindran served as the global head of the Chicago headquartered 116 year old Rotary International, one of the world's largest service organisations. He is the only Sri Lankan and the tenth Asian to have ever been elected to this prestigious office. Subsequently he also served as the Chairman of the Board of Trustees of the multibillion dollar Rotary Foundation.

He has been recognised by the Sri Lanka Association of Printers with the signature Lifetime Achievement Award and was conferred with the title of Sri Lanka Sikhamani (Jewel of Sri Lanka) by the Government of Sri Lanka.



Shehara de Silva
Independent Non-Executive Director

Shehara is an international branding and communication specialist with a track record of market development in East Asia and Sri Lanka. She is currently on the Board of Keells Food Products PLC, Expack Corrugated Cartons Pvt Ltd, Sarvodaya Development Finance, Optima Design, Informatics Institute of Technology and Quickshaws Travel (Pvt) Ltd. She is also a Trustee board member of the Neelan Tiruchelvam Trust. She was previously on the Boards of The Environment Foundation, the Arthur C Clarke Institute of Modern Technologies and Eagle NDB Fund Management. She has worked with Omnicom related companies in Malaysia, as the Director Planning Naga DDB and later as the Managing Director of Interbrand Malaysia and Group Director Strategy of Foetus International. She was the Deputy Director General of the Board of Investment Sri Lanka and GM Marketing and Sales of Janashakthi Insurance. She has consulted for the UN/ ILO, USAID, GiZ, PLAN international, NORAD, and Internews on gender, competitiveness and reconciliation.



Suresh Malith Paranawithana
(Appointed w.e.f. 23rd March 2022)
Independent Non-Executive Director

Suresh Paranawithana began his career in the field of insurance in the year 1986. He has experience in the Life Insurance industry for over 29 years.

Suresh is a Fellow of the Chartered Insurance Institute, Fellow of the Chartered Institute of Marketing, Certified Management Accountant (Aus) and has a Master of Business Administration.

Having initially worked for Mercantile Credit Limited, he then moved on to Ceylinco Insurance Company Limited (Life Division) and subsequently to Sri Lanka Insurance Corporation Limited, where he held many senior positions in the company.



Prof Hithanadura Asita De Silva
(Appointed w.e.f. 18th November 2022)
Independent Non-Executive Director

Professor Asita de Silva has held many positions in academic medicine over the last 30 years. He is a Clinical Pharmacologist and is currently Senior Professor of Pharmacology at the Faculty of Medicine, University of Kelaniya, Sri Lanka. Asitha graduated MBBS in 1991 from the North Colombo Medical College, Sri Lanka, and had his postgraduate training in clinical pharmacology at the Radcliffe Infirmary in Oxford. He holds a doctorate in Clinical Pharmacology from the University of Oxford and is a Fellow of the Royal College of Physicians, London. His clinical research interests have focused on neglected tropical diseases and major non-communicable diseases with a major focus on developing cost-effective and scalable therapeutic interventions. He serves on numerous international steering committees of large clinical trials on cardiovascular disease and has a prolific scientific publication record. He has received Presidential awards for medical research on numerous occasions and is included in the database of the world's top 2% of scientists compiled by Stanford University. He was the

Chairman of the National Medicines Regulatory Authority in Sri Lanka from June 2016 to March 2021. In 2019, he was awarded the titular honour 'Vidya Jyothi', Sri Lanka's highest award for science.

SENIOR MANAGEMENT TEAM



Susil Palihakkara
Specified Officer



Shaul Hameed Asif
Head of National Distribution



Nimal Priyantha
Assistant General Manager - Sales



Sabeeh Feisal
Assistant General Manager – Life Underwriting



Shakir Mohamed
Senior Regional Manager - Western



Sathik Niyas
Senior Regional Manager – East and North



Althaf Kaleel
Manager Business Development – Bancassurance & Corporate Partnerships



Irshad Nawaz
Regional Manager - Western



Jahaan Sultan
Manager – Human Resources



Muhammad Afzal Ali
Senior Manager – Finance



Inshath Haniffa
Manager – Actuarial



Sithamparapillai Muhunthan
Senior Manager – Learning & Development



Jaseel Jawhar
Manager - Agency Administration

OTHER CORPORATE MANAGEMENT TEAM



Arokkiyanathar Moses
Regional Manager - North



Nalin Dammika
Regional Manager – Uva



Nawaz Badurdeen
Manager – Shariah Department



Fahrul Nisver
Manager – Life Underwriting



Malaika Dole
Manager - Life Underwriting



Shafeel Jabeer
Manager – Banca Takaful



Yudheesha Fernando
Assistant Manager – Sales
Administration



Mohamed Razick
Assistant Manager – Claims &
Servicing



STRATEGIC REPORT

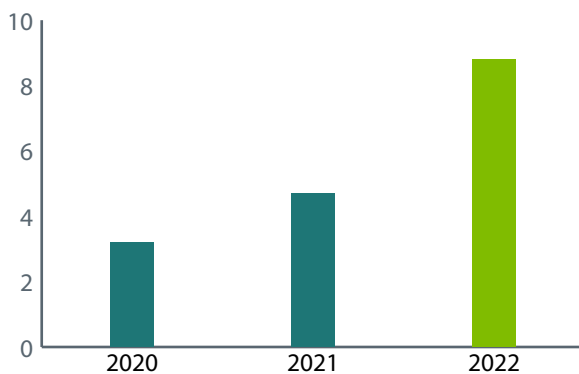
OPERATIONS REVIEW

Economic Backdrop

The World Economic Outlook revealed in its October 2022 report that global growth forecast contracted from 6% in 2021 to 3.2% in 2022. The lingering effects of the COVID-19 crisis, increasing cost of living, the impact of Russia's war on Ukraine and unstable financial markets slowed global growth. Meanwhile, inflation predictions at a global scale rose from 3.2% in 2020 to 4.7% in 2021 to 8.8% in 2022. Supply chain disruptions continued in 2022.

As the cost of living crisis goes on, countries across the globe are striving to bring down inflation. Tight monetary conditions continue to negatively impact financial and debt stability.

Global inflation (%)



The combination of global challenges and internal stress negatively impacted Sri Lanka's economy. Following the contracted growth post COVID-19, Sri Lanka's weak investment environment, administrated exchange rate as well as expansionary monetary policy further deteriorated the crisis situation. Cost of local business operations continued to rise in 2022 driven mainly by commodity price anomalies and the foreign currency liquidity crisis.

Sri Lanka lost access to the global financial markets in 2022 with the credit rating downgrade. The country serviced external debt and paid for imports relying on official reserves and loans from the banking sector. As a result, official reserves decreased from US\$7.6 Bn. in 2019 to less than US\$400 Mn. by June 2022, excluding a currency swap equivalent to US\$1.5 Bn. with China.

The country's banking sector underwent a net foreign asset drop to US\$ -5.9 Bn. by June 2022. As a result of this liquidity crisis, Sri Lanka announced an external debt service suspension in April, 2022 and later sought to consider debt restructuring.

As such, the nation's economy decelerated by 11.8 in the third quarter of 2022. The supply chain disruptions further impacted all key sectors. As at January 2023, the country's inflation was at 53.20 based on the National Consumer Price Index. Over inflation was caused by high food prices, fiscal deficit, supply chain disruptions and currency depreciation. In the meantime, the Sri Lankan rupee depreciated from 200 to 360 to the US in 2022 due to the balance of payment crisis. Interest rates rose to 30% during the year under review.

As the financial sector faced multifaceted challenges in 2022, licensed microfinance companies, superannuation funds, insurance companies and other subsectors experienced mixed performance. As poverty levels increased and disposable income contracted, the Long-Term Insurance industry faced challenges.

The Central Bank reported that "the significant decline in financial services led to the 6.6% contraction in the financial, insurance, and real estate activities (including ownership of dwellings) during the first half of 2022, which grew by 7.1% in the corresponding period of 2021."

However, the insurance sector showed improved performance with healthy growth of total assets in the first half of the year. Total assets and GWP of the insurance sector grew by 7.9 % and 17.8 % (YoY)

Sources cited: The World Bank. International Monetary Fund, Central Bank of Sri Lanka

Insurance Sector Performance

The statistics revealed by the Insurance Regulatory Commission of Sri Lanka indicate that the total Gross Written Premium (GWP) of the insurance industry for Long Term Business was Rs 118 Bn (2021: Rs. 124 Bn) as at the end of the Year

Claims incurred by the long term insurance sector (inclusive of maturity and death claims) was at Rs. 60,639 Mn (2021: Rs. 46,113 Mn) indicating a growth of 31.50%.

The assets of the Long-term insurance providers stood at Rs 668,676 Mn by the fourth quarter of 2022 illustrating a growth rate of 5.70%. This growth stemmed mainly from an increase in business volume which is represented by investments in government debt securities.

Company Performance

While the year 2022 proved to be a challenging year from a multitude of fronts, the Company maintained the momentum gained through the strategic turnaround implemented in 2019 whilst remaining market responsive in 2022 to steer ahead and create a steady foundation for future growth through profitability and market expansion.

The Company's well-founded plans to implement excellence at all levels of service, operations and execution bore fruit in 2022, allowing us to carefully navigate a difficult situation. During the year under review, we reinforced our focus from investment to protection, worked on expanding our distribution network and curated the product portfolio to match market demand.

In addition, we accelerated our plans to provide a range of choices to investors and manage costs within acceptable margins during the year under review.

As such, Amana Life recorded a GWP growth of 14% during the year under review coupled with profit before tax increase of 465.87% at Rs. 54.09 Mn as at the end of the financial year.

The Company's total assets grew by 470.49 Mn in 2022. Claims including Surrenders, part withdrawals and maturities are Rs. 518.77 Mn in comparison to the previous year Rs. 427.03 Mn.

Looking Ahead

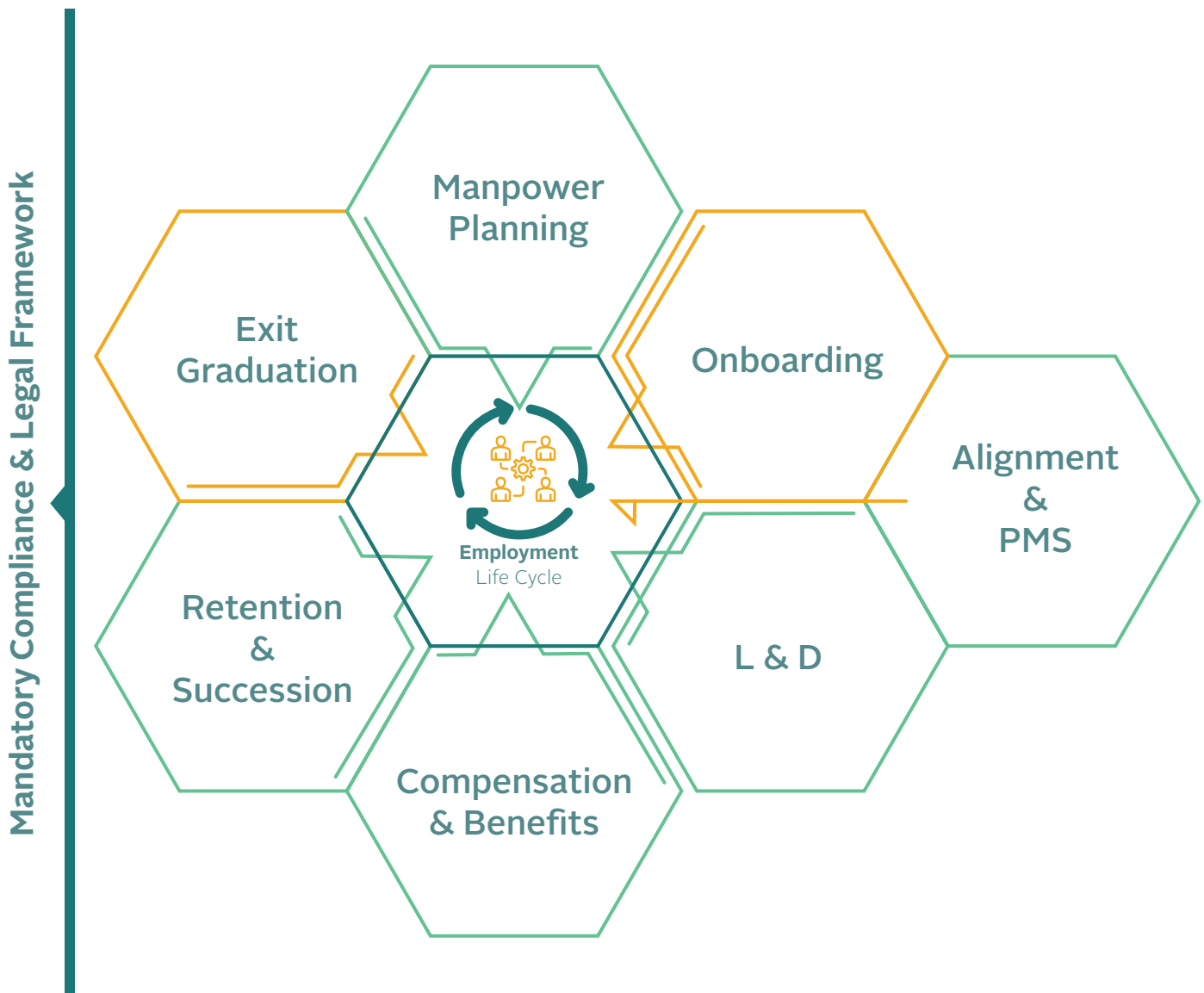
Amana Life offers our customers a wide range of insurance solutions including protection, endowment, retirement, health and investment. While we expect the economic crisis to continue to impact the financial market and the disposable income of our customers, we plan on continuing our four pillar approach to provide them with viable solutions to grow with us.

We believe that market insight driven insurance solutions, strengthening our distribution network, cost management and a wide product and service portfolio will allow us to assist our customers and other stake holders to maintain their trust in our stability and pursue growth together.

HUMAN RESOURCES

Human Capital

Operating in a highly competitive industry, employee wellbeing is integral to the growth at an organisation. As such, our employee development process, revalues on enhancing employee wellbeing, growth, competency and happiness. Our human capital goals align with the overall corporate goals of the Company, which seek to optimise our economic, social and environmental impact to grow in a sustainable manner. The Company's human capital approach takes this into account, and provides relevant training and development opportunities, calibrated to achieve corporate goals whilst ensuring employee satisfaction. A robust Performance Management System (PMS) is inform in.

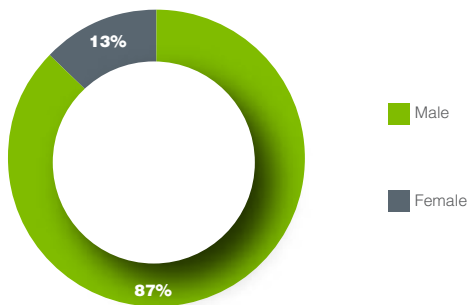


The Company's human resource development and nurturing process begins at the recruitment point and continues throughout the employee lifecycle. While we look to attract talented and motivated individuals, our employee development efforts are ongoing.

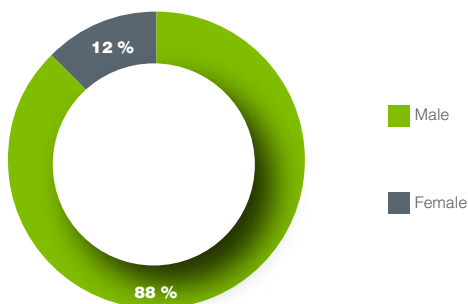
The Composition Of Our Human Capital

Operating from a point of non-discrimination and inclusivity, our employee base is diverse and wide spread with our presence across the country. Amana Life does not discriminate employees on the basis of gender, ethnicity or religious views. While the insurance industry by its nature has conventionally attracted male employees, we proactively encourage female employees to join us and work towards career advancement. However, at present, a majority of our employees are men. Nevertheless, in keeping with our Company credo – ‘To Every Sri Lankan as One,’ our human resources department consistently strives to attract and nurture candidates from all genders and ethnic backgrounds. We believe that this will pave the way for a greater social impact.

Gender Analysis of Staff 2021



Gender Analysis of Staff 2022

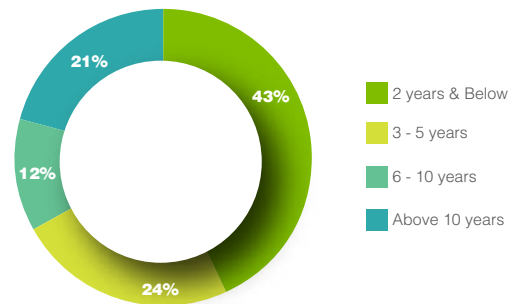


Our staff comprises 97 employees, of whom 20 have been with us over 20 years.

Staff Strength	2021	2022
Senior Management	3	3
Middle Management	47	45
Executives	37	33
Non Executives	7	16
Grand Total	94	97

Service Analysis of Staff - 2022 Years	Senior Management	Middle Management	Executives	Non Executives	2022
2 and below	0	13	13	16	42
3 - 5	1	9	13	0	23
6 - 10	1	9	2	0	12
Above 10	1	14	5	0	20
Grand Total	3	45	33	16	97

Service Analysis of Staff 2022



Meanwhile, our employees are spread across the island parallel to the requirements of our customers and the Company's presence. As the majority of our clients reside in the Western Province, our staff strength is strongest in this region to cater to their requirements.

Staff Distribution by Province	2021 No.	%	2022 No.	%
Central	15	16%	16	16%
Eastern	11	12%	16	16%
North Central	1	1%	2	2%
North Western	4	4%	5	5%
Northern	3	3%	3	3%
Sabaragamuwa	3	3%	3	3%
Southern	2	2%	1	1%
Uva	3	3%	0	0%
Western	52	56%	51	53%
Total	94	100%	97	100%

Training And Development

During the year under review, we conducted periodical training sessions to provide the necessary skills and knowledge to employees. We are well aware of the fact that the insurance industry requires talent that can adapt to change, innovate and think outside the box. Accordingly, we created a curated and customisable training plan for the year and carried out programmes throughout the year. We sourced training resources and personnel from both within and outside the Company.

HUMAN RESOURCES

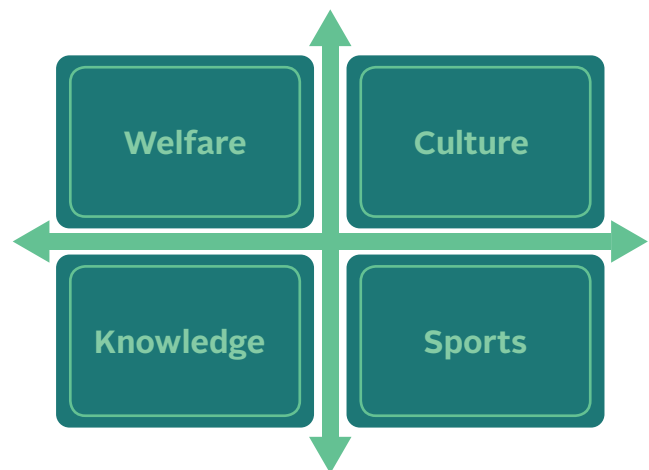
Facing External Pressure

The year 2022 presented a myriad of logistical, social and financial challenges in all fronts, and human resource management was no exception. Our employees faced a gamut of difficulties in continuing to meet their professional commitments whilst managing challenges in their personal lives. As the economic crisis prevailed, a large number of Sri Lankans sought employment abroad, a status quo that negatively impacted our ability to hire and retain talented and experienced employees.

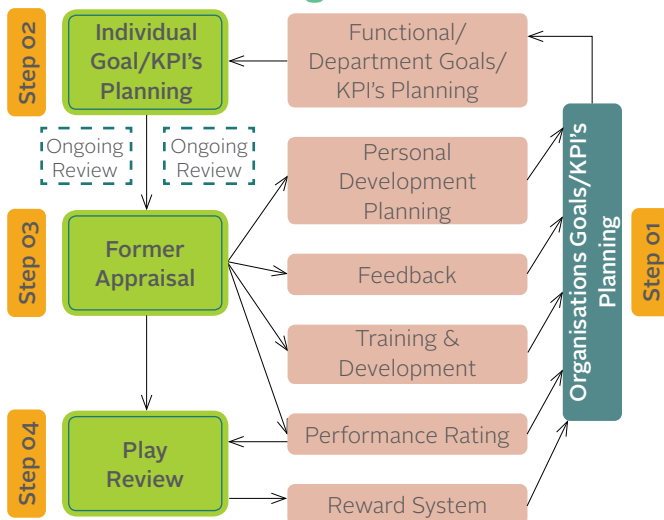
In this context, we relied on our core competencies in nurturing human capital. The Company continued to pay industry standard remuneration and went ahead with promoting and developing employees in spite of financial challenges. Amana Takaful Life refrained from implementing any salary reductions during the year under review. In this regard, we followed our well-established performance management system, which guided our employee remuneration and rewards process

to help each and every one of our staff members to navigate the challenging external environment well. ATWA also conducted a series of events throughout the year to encourage unity within the organisation.

The below depiction presents the mandate of the ATWA;



Performance Management Process



Even though the year under review presented a daunting task in managing human resources, our united efforts and well-defined information driven processes allowed us to create a safe and growth conducive space for our employees.

The Company maintains an 'Open Door' policy to allow employees to feel at ease in seeking assistance with any challenges that they face in their professional lives. We consistently promote the 'Pulse Check', crafted to check in with employees periodically to ensure their overall wellbeing and satisfaction in their professional lives.

Meanwhile, our welfare organisation ATWA (Amana Takaful Welfare Association) carried out employee welfare activities

CORPORATE SOCIAL RESPONSIBILITY

Scholarships

Amana Takaful Insurance came forward to financially support university students who gained admission to various universities. This monthly stipend that will continue for 5 years shall help meet educational and living expenses during the students' course of study.

The students were selected from different districts in the country, and are members of financially deprived households. Their parents are currently engaged as labourers, fruit sellers and street vendors.

Regular follow-ups are done and students are required to inform the company of their academic progress. Senior Management meets with the students and parents to review the students' progress.

CORPORATE GOVERNANCE

Corporate governance

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amana Takaful Life PLC strongly believe that it is vital for the Company to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a Management process in which a corporate, business entity or Company is directed, managed and controlled. It is a concept which is now entrenched in the business world. In any company where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amana Takaful Life PLC is committed to adopting best practices. It is also committed to maintain the smooth functioning of the Company's operations.

Capital Structure And Shareholding

Amana Takaful Life PLC has at its foundation a capital structure consisting an issued share capital of Rs. 500,000,000/-. The Company has 1,066 shareholders, as at 31st December 2022 while the majority shares are held by institutions. Details of the main shareholders are given on page 119

Board Of Directors And Board Committees

There are Nine Directors on the Board of Amana Takaful Life PLC, whom Eight hold office in Non-Executive capacities and one in Executive capacity who also function as the Chief Executive Officer of the Company. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 18 to 21

Corporate Governance Framework

Amana Takaful Life PLC operates within a clear governance framework, which is outlined in the diagram below and set out in this Report:



CORPORATE GOVERNANCE

Board Composition

The Board currently comprises Nine Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 18 to 21

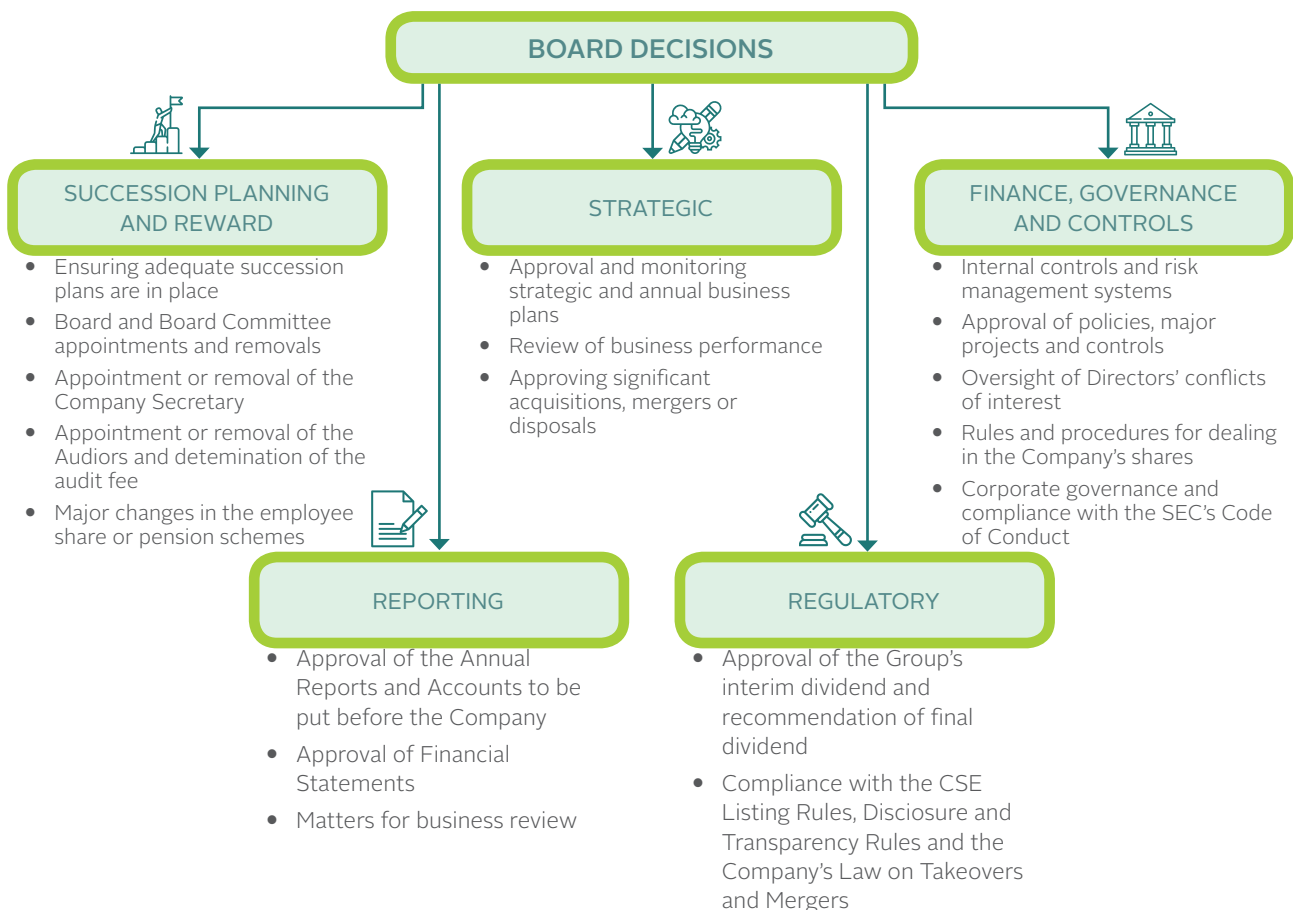
The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of Management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 40 to 47. Following presentation by Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications.

A summary of these matters includes:



The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies including Long-term business plans. Ensure the appointment of a competent Chief Executive Officer, and an effective Management Team including an evaluation of their performance, as well as review the Company's and the Group's succession plans. Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to "Shari'ah" Principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.

Board Roles And Responsibilities

CHAIRMAN

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up-to-date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and Develop and maintain effective communication with shareholders.

Chief Executive Officer/ Executive Director

The role of the Chief Executive Officer (CEO) / Chief Executive /Executive Director is to:

- Run the day-to-day business and operations of the Company;
- Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the Executive Management of the Company;
- Meet the Group's budget and strategic plans; and provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.
- As an executive director, identify matters that have an impact on our business and report to the board regularly. The Board approves strategic directions based on the evaluations of such matters which are most material in the given context.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its committees and between Senior Management and Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, 1/3 of the Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various Committees of the Board will outline the agendas for the Board and Committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

CORPORATE GOVERNANCE

Amana Takaful Life PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following committees of the Board have been formed with the objective of improving governance: viz–

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee
- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Executive Committee

Each Committee has a defined terms of reference approved by the Board, outlining the respective committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these committees are expected to attend all meetings.

The Board Audit and Compliance Committee, Risk Management Committee, Investment Committee, Remuneration Committee and Related Party Transactions Review Committee of the Parent, Amana Takaful PLC, function as the committees of the Company respectively.

I. The Board Audit And Compliance Committee

The Audit and Compliance Committee comprises three Independent Non-Executive Directors. This Committee is chaired by Mrs. Deepthie Wickramasuriya who is an Independent Non-Executive Director of the Parent Company. The Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions taken of any weakness described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 52 to 53.

II. The Board Risk Management Committee

The Risk Management Committee of the Board comprises three Independent Non-Executive Directors. This Committee is chaired by Mr. Zulficar Ghouse who is an Independent Non-Executive Director of the Parent Company. The main function of this Committee is to review and re-align the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detailed report on the Risk Management Committee functions and its activities during the year 2022 are provided on pages 40 to 47.

III. The Board Investment Committee

The Investment Committee comprises Osman Kassim, M H S Kassim, Sharhan Muhsin, Zulficar Ghouse, Abdullah Kassim and Ammar Kassim. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company.

The Committee convenes its meeting on a monthly basis, however in lieu of the pandemic and nation-wide lockdowns, the committee was able to convene only on eight occasions during the period under review.

IV. The Board Remuneration Committee

The Remuneration Committee is composed of three Independent Non-Executive Directors of the Board. Details of remuneration paid to Directors are set out in Note 27 to the Financial Statements on page 101.

The Report of the Remuneration Committee is provided on page 54.

V. The Board - Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors. This Committee is chaired by Mr. Zulficar Ghouse, who is an Independent Non-Executive Director of the Company. The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 55.

Ethical Standards

Amana Takaful Life PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for Insurance Companies in Sri Lanka, which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgement;
- Maintaining privacy and confidentiality of customer – related information;
- Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the monthly team brief.

Executive Management

The Chief Executive Officer deliberates strategic issues with the Operations Management Committee (OMC) which includes representatives of respective departments. Each of them, who head Strategic Business Units drive their business functions aligned to the strategic plan, building capacity and capability. Corporate Governance and Compliance is a key function of the OMC.

The Company's performance dashboard is a key evaluation and measurement tool in this process.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an inhouse audit team conducts internal audit on the systems and various aspects of the operations in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance With “Shari’ah” Requirements

Amana Takaful Life PLC takes the utmost care in adhering to “Shari’ah” principles. A Shari’ah Unit has been set up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari’ah, in particular that relates with the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 56

Regulatory Compliance

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., and notify and guide the respective departments accordingly.

Relationship With Stakeholders

The Board of Directors discloses policy decisions and operations affecting shareholders through its Quarterly and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings ensuring shareholder participation and interaction.

The management holds monthly team brief at which employees are briefed on company performance, policies, goals and values of Amana Takaful Group and their views and suggestions are sought and evaluated.

Amana Takaful Life PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

Solvency Requirements

The Solvency Margin (Risk-Based Capital) pertaining to Long-term Insurance (Family Takaful) Business has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015.

CORPORATE GOVERNANCE

Corporate Governance Disclosures Under Cse Rules In Relation To Directors Of The Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Executive Director(s) 1. Gehan Rajapakse – Executive Director Non-Executive Directors 1. Osman Kassim – Chairman (Non-Independent) 2. Sharhan Muhseen - Deputy Chairman (Appointed w.e.f. 27th April 2023) 3. Ammar Shafik Kassim 4. K Ravindran 5. Shehara De Silva 6. Hassan Kassim (Non-Independent) 7. Suresh Paranavitana (Appointed w.e.f. 23rd March 2022) 8. Prof Asita De Silva (Appointed w.e.f. 18th November 2022)	All other members of the Board serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7.10.1.
	Independent Directors 1. Ammar Shafik Kassim 2. Sharhan Muhseen 3. K Ravindran 4. Shehara De Silva 5. Suresh Paranavitana 6. Prof Asita De Silva	All the Non-Executive Directors have submitted the annual declaration of their independence or non-independence. The Board reviewed the declarations and determined the Independent Directors of the Company as per Rule 7.10.3 (a) The Board comprises of six Independent Directors out of eight Non-Executive Directors by the end of 2022. The Company has complied with the CSE Listing Rules 7.10.2.
Remuneration Committee	1. Zulficar Ghouse - Chairman 2. Syed Rizwan Hussain 3. A. O. Kassim (Appointed to the committee w.e.f. April 2022)	Remuneration Committee of the Parent Company, Amana Takaful PLC, functions as the Remuneration Committee of the Company in terms of CSE Listing Rules 7.10.5.
Audit and Compliance Committee	1. E. D. Wickramasuriya – Chairman 2. Syed Rizwan Hussain 3. P. S. Weerasekera (Appointed to the committee w.e.f. April 2022)	Audit and Compliance Committee of the Parent Company, Amana Takaful PLC, functions as the Audit and Compliance Committee of the Company in terms of CSE Listing Rules 7.10.6.
Related Party Transactions Review Committee	1. M. Zulficar Ghouse – Chairman 2. E. D. Wickramasuriya 3. P. S. Weerasekera (Appointed to the committee w.e.f. April 2022)	Related Party Transactions Review Committee of the Parent Company, Amana Takaful PLC, functions as the Related Party Transactions Review Committee of the Company in terms of CSE Listing Rules 9.2.3.

Compliance With IRCSL Direction # 17 On Corporate Governance

The Company has ensured compliance with the above guidelines and will ensure compliance on an on-going basis.

Directors' Attendance At The Meetings

Board Meeting

Six Board meetings were held for the year 2022 and the attendance of each Director at such Board meetings conducted during their tenure is given in the following table:

Name of the Director	Board Meetings	
	Held/ Applicable	Attended
1. Osman Kassim – Chairman (Non-Independent)	6	5
2. Sharhan Muhseen - Deputy Chairman (Appointed w.e.f. 27th April 2023)	6	6
3. Gehan Rajapakse – Executive Director	6	6
4. Ammar Shafik Kassim	6	4
5. K Ravindran	6	4
6. Shehara De Silva	6	5
7. Hassan Kassim	6	4
8. Suresh Malith Paranawithana (Appointed w.e.f 23rd March 2022)	5	4
9. Prof. Asita De silva (Appointed w.e.f 18th November 2022)	1	0

Committee Meeting

The Committee of Amana Takaful PLC , the parent company functions as the committees of the Company in terms of the Listing Rules of the Colombo Stock Exchange. These committees include some of the Directors of the parent company.

Name of the Committee Member	Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
M. Z. M. Ghouse			2	2	4	4
E. D. Wickramasuriya	4	4			4	4
Syed Rizwan Hussain	4	2	2	2		
P.S. Weerasekara	4	2			3	2
A.O. Kassim			1	0		

ENTERPRISE RISK MANAGEMENT

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2022.

What Is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks" (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in the US defines ERM:

"...a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

- Value is maximised when management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –
- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise risk management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses.
- Reducing surprises and associated costs or losses.
- Identifying and managing multiple and cross-enterprise Risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.

- Seizing opportunities – By considering a full range of potential events, management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications from the strategy and the possibility of strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the Company's overall direction and performance.



Definitions Of Risk And Risk Management

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multi directional, iterative process in which almost any component can and does influence another.

ENTERPRISE RISK MANAGEMENT

Risks Faced By Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the organisation's overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories a

1. Insurance Risk

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk – At the time of underwriting of a Risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime is in place with well-experienced and qualified professionals in the team.
Product Design – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	A well-scrutinised set of SOPs are formulated and implemented.
Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing, Strategy and Finance. They meet periodically and review existing product features while researching for new product requirements.
	A qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both the life and the general segments.

a. Claims Risk

Risk	Control
Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential on agreed assumption.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	A segregated process with checks and balances is implemented. Continuous training and development programmes are in place with supervision of well-experienced senior staff to mitigate such risks.

b. Retakaful Risk

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRCSL).
Accepting risks beyond the Company's retention limits.	The services of professional Retakaful brokers are also obtained in reinsurance placements.
	System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process.

2. Market Risks

Market risks are wider risks that any company is exposed to in terms of demand and supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele do understand that the Takaful is a complete system and not simply a product range in a conventional system

3. Strategic And Reputational Risk

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the organisation.

Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to management with the assistance of Media-Watch partners through the marketing unit.

4. Operational Risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risk	Control
Sudden disasters/calamities	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right Place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – Standard Operating Procedures (SOPs) do not capture important controls	The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of key projects	The Business Operations Management (BOM) and the General Management Committee (GMC) meet monthly and review projects under implementation.
Utilities	Electricity – A back-up generator is fully active.

ENTERPRISE RISK MANAGEMENT

5. Compliance Risk

The key compliance risks and the control measures are listed below:

Risk	Control
Unable to comply with the applicable regulatory requirements	The first item of the Agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee. All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

6. Credit Risk

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee.

Risk	Control
Unable to comply with the applicable regulatory requirements	SOP on credit approval which covers authorisation and approvals of Credit Policy is linked to the Sales Commission and Incentive Scheme. Weekly credit review.
Risk in recovering Retakaful	Rated Retakaful companies.
Unable to recover capital value of investments	Guided by the IRC SL Investment Guidelines. Close monitoring by the Board Investment Committee.

ATLPLC Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the Consequence parameter ranges from negligible to severe on I to V scale.

CONSEQUENCE	LIKELIHOOD				
	RARE	UNLIKELY	POSSIBLE	LIKELY	ALMOST CERTAIN
SEVERE	H	H	H	VH	VH
MAJOR	M	M	H	H	VH
MODERATE	M	M	H	H	H
MINOR	L	L	M	M	H
NEGLIGIBLE	L	L	L	M	M

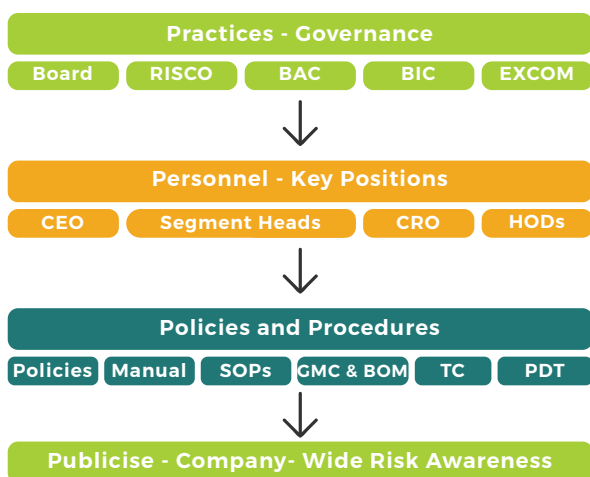
Amana Takaful maintains a Risk Register which analyses all the potential risks under each of the above category and these items have been graded based on the above parameters of Likelihood and Consequences.

The Company adopts the following strategies in managing the risks as per the Likelihood and Impact grading. Please refer the Impact and Likelihood along with the Risk Management Grid.

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D)	Low	Accept	Keep monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E)	Medium	Reduce Likelihood	Have measures to manage Likelihood and/or Impact.
(III,D), (IV,E), (IV,D)	High	and/or Impact	Spread the risk to a third party or involve risk owner sharing the risk.
(II,A), (III,C), (III,B), (III,A)	Very High	Spread and/or Transfer	Have contingency arrangements.
(IV,C), (IV,B), (V,E), (V,D), (V,C)		Avoid	Have plans for recovery.
(IV,A), (V,B), (V,A)			Do not participate in the activity.

ATLPLC Enterprise Risk Management Framework

In the ERM Framework of ATLPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board	– The Board of Directors
RISCO	– Board Risk Committee
BAC	– Board Audit Committee
BIC	– Board Investment Committee
CEO	– Chief Executive Officer
CRO	– Chief Risk Officer
HODs	– Heads of Departments
SOPs	– Standard Operating Procedures
GMC	– General Management Committee
TC	– Technical Committee
PDT	– Product Development Team

The ERM framework operates on a bottom-up approach in terms of its Lines of Defence.

1. First Line of Defence

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM Framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

2. Second Line of Defence

Policies and Procedures – Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has restructured the Management Review Process through the General Management Committee (GMC) and a Business Operations Management Team (BOM), widening the participation of Key Management Personnel with specific roles in each of the groups.

3. Third Line of Defence

Key personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

4. Final Line of Defence

Governance Practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These Committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

ENTERPRISE RISK MANAGEMENT

Risk Management Process

In the process of managing the risks of the organisation, the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at BOM, GMC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance Risk	• Average Rates by Subclasses • Claims Ratios by Sales Teams and Subclasses • Product Profitability • RI Covers Vs Risk Accumulation
Strategic and Reputational Risk	• Overall Target Achievements at Firm Level and Departmental Level • Variance Analysis • Market Positioning • Client Satisfaction Index
Market Risk	• Interest Rate Movement • Bullion Market Movement • Equity Market Movement • Economic Indicators • Changes in Tax Regulations • Changes in Government Policies
Operational Risk	• Staff Turnover Ratio • Staff Satisfaction Index • Internal/External Audit Findings • Deviations from ISO Standards on Safety Measures • Current and Liquidity Ratios • Implementation of Industry Best Practises
Credit Risk	• Debtors Turnover Ratio (Days)
Compliance Risk	• Queries Raised by Regulator/Ombudsman • Pending Legal Matters • Unresolved Audit Queries • Items in the Management Letter • Investment Portfolio Mix

Key Areas Reviewed By The Board Risk Committee During 2022

- Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- Review of Heat map for direct operations and support functions.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- Review of the Deferred Tax Asset
- Review of large losses

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Zulficar Ghouse – Chairman	4 out of 4
Syed Rizwan Hussain Independent Non-Executive Director	2 out of 4
Abdullah Osman Kassim Independent Non-Executive Director (Appointed w.e.f. April 2022)	1 out of 4

The Chief Executive Officer of Amana Takaful PLC, Chief Executive Officer of Amana Takaful Life PLC and Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Audit also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors are pleased to submit their report together with the audited accounts of the Company, for the year ended 31st December 2022, to be presented at the 7th Annual General Meeting of the Company.

Review Of The Year

The Chairman's Review on pages 10 to 13 describes the Company's affairs and mentions important events that occurred during the year, and up to the date of this Report. The Chief Executive officer's review on pages 14 to 17 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is Family Takaful (Long-term Insurance) business.

Financial Statements

The Financial Statements prepared in conformity with the Sri Lanka Accounting Standards and in compliance with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of Insurance Regulatory Commission of Sri Lanka, are given on pages 64 to 115 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page 60 to 63 of this Annual Report.

Accounting Policies

The accounting policies adopted in preparation of the Financial Statements are given on pages 70 to 83

Financial Results And Appropriations

The Profit After Taxation of the Company for the year was Rs. 54.1 Mn (2021 – Profit Rs. 9.6 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund has increased to Rs. 2,830 Mn from Rs. 2,547 Mn in 2021.

Property, Plant And Equipment

During the year under review, the capital expenditure on Property, Plant and Equipment for the Company amounted to Rs. 4.8 Mn (2021 – Rs. 4.6 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 5 to the Financial Statements.

Financial Investments

Details of financial assets held by the Company are given in Note 8 and Note 11 to the Financial Statements.

Reserves

Accumulated Profit as at 31st December 2022 for the Company amounted to Rs 12.3 Mn (2021 – Accumulated Loss Rs. 42.6 Mn). The breakup and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31st December 2022 was Rs. 500,000,000 represented by 50,000,000 ordinary shares. The details of the stated capital are given in Note 19 to the Financial Statements on page 98

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31st December 2022 other than those reported in Note 33 to the Financial Statements.

Material Issues Pertaining To Employees And Industrial Relations Of The Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

Post-Balance Sheet Events

There were no material events occurring after the Reporting Date that require adjustments or disclosure in the Financial Statements.

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 58 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 32 to 39 of this Annual Report.

Board of Directors of the Company confirm that the Company is compliant with section 7.10 of the Listing Rules of the Colombo Stock Exchange and SL Accounting standards. Act No 15 of 1995

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interests Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 30 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding on page 50

Board Committees

Audit And Compliance Committee

The Audit and Compliance Committee of the Parent Company, Amana Takaful PLC functions as the Audit and Compliance Committee of the Company. Following are the names of the Directors comprising the Audit and Compliance Committee of the Company:

1. Deepthi Wickramasuriya - Chairman
2. Syed Rizwan Hussain
3. P. S. Weerasekera

The Report of the Audit Committee on pages 52 and 53 set out the manner of compliance by the Company in accordance with the requirements of Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

The Remuneration Committee of the Parent Company, Amana Takaful PLC functions as the Remuneration Committee of the Company. Following are the names of the Directors comprising the Remuneration Committee of the Company:

1. Zulficar Ghouse - Chairman
2. Syed Rizwan Hussain
3. Abdullah Osman Kassim

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 54 in accordance with the requirements of Rule 7.10.5 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 27 to the Financial Statements.

Related Party Transaction Review Committee

The Related Party Transactions Review Committee of the Parent Company, Amana Takaful PLC functions as the Related Party Transactions Review Committee of the Company. Following are the names of the Directors comprising Related Party Transaction Review Committee of the Company in accordance with the requirements of Rule 9.2 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

1. Zulficar Ghouse – Chairman
2. Syed Rizwan Hussain
3. P. S. Weerasekera

Integrated Risk Management Committee

The Integrated Risk Management Committee of the Parent Company, Amana Takaful PLC functions as the Integrated Risk Management Committee of the Company. Following are the names of the Directors comprising the Integrated Risk Management Committee of the Company:

1. Zulficar Ghouse - Chairman
2. Syed Rizwan Hussain
3. Abdullah Osman Kassim

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Share Information And Substantial Shareholdings

The distribution of shareholding, market value of shares and twenty five largest shareholders are given on pages 119 and 120

The earnings per share, dividends per share, net assets per share are given on page 121

Directors

The Directors of the Company during the year were as follows:

Name of Director	Date of Appointment
Osman Kassim	10th September 2018
Gehan Rajapakse	3rd June 2020
A. S. Kassim	7th March 2016
Sharhan Muhseen	1st April 2021
M. H. S. Kassim	1st November 2021
K. R. Ravindran	1st November 2021
Shehara De Silva	1st November 2021
Suresh M. Paranavitana	23rd March 2022
Rukman Weeraratne	23rd March 2022. (Resigned w.e.f. 26th May 2022)
H. Asita De Silva	Appointed w.e.f. 18th November 2022

A brief profile of the Directors are given on pages 18 to 21 of this Annual Report.

Rukman Weeraratne resigned from the Board of Directors of Amana Takaful Life PLC w.e.f 26th May 2022.

In terms of Section 24 (2) of the Articles of Association of the Company, H. Asita De Silva has been appointed as a Director subsequent to the last Annual General Meeting and being eligible has offered himself for re-election.

In terms of Section 24 (7) of the Articles of Association of the Company, A. S. Kassim and Sharhan Muhseen being subject to retirement by rotation being re-elected as Directors of the Company.

Osman Kassim and Krishnamoorthi Ratnam Ravindran who have attained the Age of 70, retire by rotation in terms of section 211 of the Companies Act No. 7 of 2007 and being eligible offer themselves for re-election.

CEO/Directors' Shareholdings

The interest of the CEO/Directors in the shares of the Company as at 31st December 2022 were as follows:

	Number of Ordinary Shares	
	As at 31st December 2022	As at 31st December 2021
Osman Kassim	Nil	Nil
G. S. Rajapakse (Executive Director/CEO)	Nil	Nil
A. S. Kassim	Nil	Nil
Sharhan Muhseen	Nil	Nil
M. H. S. Kassim	Nil	Nil
Mr. K. R. Ravindran	Nil	Nil
Mrs. Shehara De Silva	Nil	Nil
Mr. S. M. Paranavitana	Nil	Nil
Mr. H. A. De Silva	Nil	Nil

Independence Of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 38

Related Party Transactions

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company other than those reported in Note 30 to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – “Related Party Disclosures” in Note 30 to the Financial Statements.

The Board of Directors of the Company declare that the Company entered into related party transaction during the financial year in compliance with the regulations pertaining to the related party transactions. Details which are given in Note 30 of the Financial Statements.

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statement.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 27 on page 101 of this Annual Report. As far as the Directors are aware, the Auditors do not have any relationship or interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

Notice Of Annual General Meeting

The Annual General Meeting will be held on 27/06/ 2023 at 10.00 am at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM). The Notice of the Annual General Meeting appears on page 127 of this Annual Report.

For and on behalf of the Board,



Osman Kassim
Chairman
23rd May 2023



Managers & Secretaries (Pvt) Ltd.
Secretaries
Amana Takaful Life PLC
23rd May 2023
Colombo

REPORT OF THE BOARD AUDIT AND COMPLIANCE COMMITTEE

The Board Audit Committee (BAC) is a formal subcommittee that is appointed by the Board of Directors. The BAC is charged with assisting the board to fulfill its obligations and responsibilities in overseeing areas such as the Company's financial reporting, internal control systems, risk management systems, internal audit and external audit functions.

Composition

The BAC comprises three members, all of whom are Independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; review and deliberate the internal audit reports on significant issues and audit findings, audit recommendations and management responses as well as its action plans; discuss on action taken to improve the effectiveness of the internal control system in the audit areas; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The Board Audit and Compliance Committee of Amana Takaful PLC, the Parent Company functions as the Board Audit and Compliance Committee in terms of Section 7.10.6 (a) of the Listing Rules of the Colombo Stock Exchange. The Audit Committee held four meetings during the year 2022. The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Deepthie Wickramasuriya Chairperson /Independent Non-Executive Director	4 out of 4
Syed Rizwan Hussain Independent Non-Executive Director	2 out of 4
P. S. Weerasekara (Independent Non-Executive Director)	2 out of 4

The Manager- Internal Audit functions as the Secretary to BAC. The agenda and the papers for the meetings are circulated among the members with sufficient notice.

The Chief Executive Officer of Amana Takaful Life PLC, the Chief Executive Officer of Amana Takaful PLC and Managing Director of the Parent Company were invited to be present at all meetings of the Committee during the period under review. The Manager-Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee. On a need basis the Heads of Departments - Finance, Underwriting, Claims and Reinsurance/ Retakaful. External Auditors, Internal Auditors who carried out outsourced assignments and other members of the Management were invited to attend the meeting.

Objectives, Duties And Responsibilities

The "Terms of Reference" (TOR) of the BAC clearly defines the role, responsibilities and scope of the Committee.

The key objectives of the Audit Committee are:

To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with the Sri Lanka Accounting Standards and other relevant laws and regulations.

To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.

To review the design and implementation of the internal control system and take steps to strengthen them as necessary.

To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.

To assess the independence of the External Auditors and monitor the performance of Internal and External Auditors.

To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the

Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management on deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

Internal Audit

Messrs. KPMG Chartered Accountants are the primary internal auditor of the Company in order to strengthen the Company's internal audit function. The Company's Internal Audit department worked closely with KPMG to ensure that the audits were conducted and completed efficiently as mandated by the Board Audit Committee. Audit Reports are periodically presented to the BAC on a quarterly basis for review. The Internal Audit department coordinates and ensures that recommendations are implemented. In addition, the Internal Audit department carries out various other audits and special assignments.

The Internal Audit Department is charged with the overall internal audit functions of the Company. The Department presents to the BAC the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented, a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

External Audit

The BAC reviewed the External Audit Plan including the scope and fee for the annual audit. The Committee held discussion with the External Auditors, Messrs. Ernst & Young, prior to the year-end audit to discuss their audit approach and procedures, including matters relating to the scope of the audit.

The BAC reviewed the results of the external audit and the recommendations contained in the Management Letter arising from the audits of the quarterly/ annual Financial Statements, thus ensuring appropriate follow-up actions are taken. The independence and objectivity of the external auditors were reviewed by the BAC.

The BAC recommended to the Board the reappointment of Messrs. Ernst & Young, Chartered Accountants as the External Auditors of the Company for the ensuing financial year, subject to approval of the shareholders at the forthcoming Annual General Meeting.

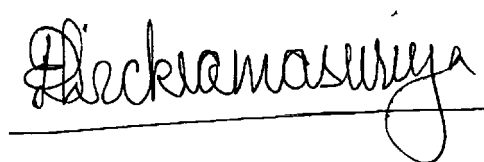
Provision Of Non-Audit Service

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The BAC is satisfied that the Company's accounting policies, internal controls, and risk management processes are adequate to provide reasonable assurance that the financial affairs of the Company is managed in accordance with Company policies and accepted accounting standards.

On behalf of the Board Audit Committee.



Deepthie Wickramasuriya

Chairperson

Board Audit and Compliance Committee

23rd May 2023

REPORT OF THE BOARD REMUNERATION COMMITTEE

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amana Takaful Group of Companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

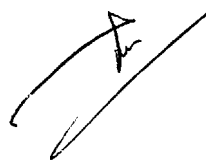
Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.

The Board Remuneration Committee of Amana Takaful PLC, the parent Company functions as the Board Remuneration Committee in terms of Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Committee Comprised of four (4) Non-Executive Directors, of whom all are independent. The Committee met twice during the year under review.

Members	Meeting Attendance
1. Zulficar Ghouse – Chairman	2 out of 2
2. Rizwan Hussain – Independent Non-Executive Director (Retired as at the 2nd meeting)	2 out of 2
3. Abdullah Osman Kassim – Independent Non-Executive Director (Appointed w.e.f. April 2022)	0 out of 1
4. Farhan Jabir –Secretary	2 out of 2



Zulficar Ghouse
Chairman – Remuneration Committee

23rd May 2023
Colombo

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Objective Of The Committee

The Committee reviews all related party transactions of Amana Takaful PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

Composition Of Committee

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors as of date.

Meetings Of The Committee

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Member	Number of Meetings Attended
1. M. Z. M. Ghouse - Chairman Independent Non-Executive Director	4 out of 4
2. E. D. Wickramasuiruya Independent Non-Executive Director	4 out of 4
3. P. S. Weerasekera Independent Non-Executive Director (Appointed to the committee w.e.f. April 2022)	2 out of 3
4. Faadhil Nizar - Secretary	4 out of 4

In addition, the Chief Executive of the Parent Company, Chief Executive Officer of Amana Takaful Life PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Assistant Manager Compliance, M.F.H. Nizar serves as the Secretary to the Committee as at reporting date.

Review Of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2022 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 30 to the Financial Statements on pages 102 to 103 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies And Procedures

The Head of Finance and Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Compliance team is required to report the related party transactions entered into by the Company during the period under Review for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



Zulifcar Ghouse

Chairman – Related Party Transactions Review Committee
23rd May 2023
Colombo

REPORT ON THE SHARI'AH ADVISORY COUNCIL



بسم الله الرحمن الرحيم

SHARI'AH AUDIT REPORT TO THE SHAREHOLDERS OF AMANA TAKAFUL LIFE PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amana Takaful Life (PLC) (the "Company") for the year ending 31st December 2022. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance & claims.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2022, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe
Chairman-Shari'ah Advisory Council

Mufti Shafique A Jakhura
Member-Shari'ah Advisory Council
23rd May 2023

Ash-Sheikh Murshid Mulaaffar
Secretary-Shari'ah Advisory Council

Ash-Sheikh Huzaifah Hussain
Member-Shari'ah Advisory Council

A small green plant with four leaves is growing out of a large pile of coins. The coins are mostly copper-colored, with some silver and gold coins visible. The background is a plain, light gray surface.

FINANCIAL REPORTS

STATEMENT OF DIRECTORS' RESPONSIBILITIES

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Company. The Directors confirm that the Financial Statements for the year 2022 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting, principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRSs/LKASs) have been followed and that the judgments and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Osman Kassim
Chairman
23rd May 2023
Colombo

CERTIFICATE OF THE ACTUARY - FAMILY TAKAFUL (LIFE)

AMANA TAKAFUL LIFE PLC

Financial Year Ended 31 December 2022

This report has been completed in compliance with IFRS 4 on Valuation for Liabilities of Long Term Insurance Business. The company, Amana Takaful Life PLC, is a Takaful Operator, but in the absence of takaful specific regulations in Sri Lanka, is governed under the same regulations as conventional insurers.



Zainal Abidin Mohd Kassim
Fellow of the Institute of Actuaries
Actuary
Kuala Lumpur
Malaysia

28th April 2023

INDEPENDENT AUDITORS' REPORT



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

TO THE SHAREHOLDERS OF AMANA TAKAFUL LIFE PLC

Report On The Audit Of The Financial Statements

Opinion

We have audited the financial statements of Amana Takaful Life PLC ("Company"), which comprise the statement of financial position as at 31 December 2022, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31 December 2022, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis For Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA FCMA, D K Hulangamuwa FCA FCMA LLB (London), Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajewani FCA, N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: W S J De Silva BSc (Hons)-MIS MSc-IT, G B Goudian ACA, D L B Karunathilaka ACA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Key audit matter

Life Insurance Contract Liabilities

Life Insurance Contract Liabilities amounting to Rs 2,830 Mn (Note 13) represent 86% of total liabilities of the Company as at 31 December 2022 which are determined as described in note 2.4.1 (13) to the financial statements.

This was a key audit matters due to:

- materiality of the reported Life Insurance Contract Liabilities;
- the degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Life Insurance Contract Liabilities and liability adequacy test carried out to determine the adequacy of the carrying value of Life Insurance Contract Liabilities.

Key areas of significant judgments, estimates and assumptions used in the valuation of the Life Insurance Contract Liabilities included the following:

- the determination of assumptions such as mortality, morbidity, lapses and surrenders, loss ratios, bonus, interest rate, discount rates and related claim handling expenses.

How our audit addressed the key audit matter

To assess the reasonableness of the Life Insurance Contract Liabilities, our audit procedures included the following, based on the best available information up to the date of our report.

- We assessed the competency, capability and objectivity of the management specialist engaged by the Company.
- We obtained an understanding of the liability valuation process.
- We checked the completeness and accuracy of the data used in the valuation of Life Insurance Contract Liabilities by agreeing key Information to source documents and accounting records.
- We engaged expert resources to assess the reasonableness of the assumptions and appropriateness of the methods used in the actuarial valuations of Life Insurance Contract Liability and Liability Adequacy Test with reference to market data and policyholders experience.
- We assessed the adequacy of the disclosures in note 13 and 2.4.1 (13) to the financial statements.

Other Information Included In The 2022 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities Of Management And Those Charged With Governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

INDEPENDENT AUDITORS' REPORT

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

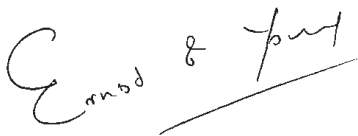
From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report On Other Legal And Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.



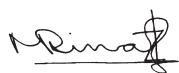
23rd May 2023
Colombo

STATEMENT OF FINANCIAL POSITION

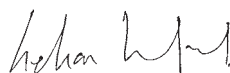
As at 31 December 2022

	Notes	2022 Rs.	2021 Rs.
Assets			
Intangible Assets	4	20,455,549	17,420,164
Property, Plant and Equipment	5	21,318,102	25,769,256
Right Of Use Asset	6	11,954,352	13,251,240
Investment Property	7	150,550,000	147,500,000
Financial Investments	8	1,049,633,044	880,303,822
Contribution (Premium) Receivables	9	37,975,619	35,952,417
Other Assets	10	41,257,953	37,907,895
Financial Investments - Unit Linked	11	2,425,246,987	2,121,644,837
Cash and Bank Balances	12	46,507,026	60,920,009
Cash and Bank Balances - Unit Linked	12	15,841,002	9,583,462
Total Assets		3,820,739,634	3,350,253,102
Liabilities			
Insurance Contract Liabilities - Family Takaful Fund	13	356,693,216	397,380,854
Insurance Contract Liabilities - Unit Linked	13	2,473,579,681	2,149,698,432
Employee Benefits	14	10,820,935	13,614,072
Subordinated Debt	15	122,612,346	88,004,732
Other Liabilities - Unit Linked	16	118,930,337	80,207,746
Other Liabilities	17	181,248,496	123,381,254
Lease Liability	18	13,039,310	14,209,487
Total Liabilities		3,276,924,321	2,866,496,577
Shareholders' Equity			
Equity Attributable to Equity Holders of the Parent			
Stated Capital	19	500,000,000	500,000,000
Other Reserves	20	31,489,222	26,397,643
Revenue Reserves		12,326,091	(42,641,117)
Total Equity		543,815,313	483,756,526
Total Equity and Liabilities		3,820,739,634	3,350,253,102

We certify that Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.

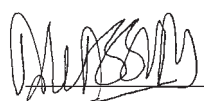


M. Rinaz Niyas
Head of Finance



Gehan Rajapakse
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the board by.



Ammar Kassim
Director



Hassan Kassim
Director

The Accounting Policies and Notes on pages 70 through 115 form an integral part of the Financial Statements.
Colombo
23rd May 2023

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December 2022		2022 Rs.	2021 Rs.
	Notes		
Gross Written Contribution (Premium)	21	1,060,777,579	929,830,479
Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(60,259,897)	(45,275,121)
Net Written Contribution (Premium)		1,000,517,682	884,555,358
Net Change in Reserve for Unearned Contribution (Premium)		2,723,534	(2,836,086)
Net Earned Contribution (Premium)		1,003,241,216	881,719,272
Other Revenue			
Income From Investments	22	406,841,117	202,511,776
Other Income	23	43,437,299	60,202,621
Total Revenue		1,453,519,632	1,144,433,669
Expenses			
Takaful (Insurance) Claims and Benefits (Net)	24	(518,768,780)	(427,036,400)
Acquisition Cost (Net of Reinsurance Commission)		(149,281,833)	(135,022,215)
Change in Family Takaful Contract Liability		(285,948,395)	(184,031,172)
Other Operating and Administration Expenses	25	(434,730,828)	(378,191,875)
Amortisations	4	(1,446,263)	(1,306,369)
Total Expenses		(1,390,176,100)	(1,125,588,031)
Profit from Operations	27	63,343,532	18,845,638
Finance Cost	26	(9,252,801)	(9,286,724)
Profit Before Taxation		54,090,731	9,558,914
Income Tax	28	-	-
Profit for the Year		54,090,731	9,558,914
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods.			
Net Change in Fair Value of Available-for-Sale Financial Assets transferred (to)/ from Life policy Holders Reserve		5,091,579	5,399,129
Other Comprehensive Income not to be reclassified to Profit or Loss in subsequent periods			
Actuarial Gain on Defined Benefit Plans	14.1	876,477	84,243
Revaluation of Property, Plant and Equipment		-	9,554,575
Other Comprehensive Income		5,968,056	15,037,947
Total Comprehensive Income for the year		60,058,786	24,596,861
Basic/Diluted Earnings Per Share	29	1.08	0.19

The Accounting Policies and Notes on pages 70 through 115 form an integral part of the Financial Statements.

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2022	Stated Capital	Other Reserves		Accumulated Profit	Total
		Life Policyholders' Reserve Fund	Revaluation Reserve		
	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01 January 2021	500,000,000	8,999,942	2,545,326	(52,385,603)	459,159,665
Profit for the year	-	-	-	9,558,914	9,558,914
Other Comprehensive Income					
Net Change in Fair Value of Available-for-Sale Financial Assets transferred to Life Policy Holders Reserve Fund		5,399,129			5,399,129
Transfer from Revaluation Reserve	-		(101,329)	101,329	-
Actuarial Gain on Defined Benefit Plans	-	-	-	84,243	84,243
Revaluation of Property, Plant and Equipment	-	-	9,554,575	-	9,554,575
Total Comprehensive Income	-	5,399,129	9,453,246	9,744,486	24,596,861
Balance as at 31 December 2021	500,000,000	14,399,071	11,998,572	(42,641,117)	483,756,526
Profit for the Period	-	-	-	54,090,731	54,090,731
Other Comprehensive Income					
Net Change in Fair Value of Available-for-Sale Financial Assets transferred to Life Policy Holders Reserve Fund		5,091,579			5,091,579
	-		-	-	-
Actuarial Gain on Defined Benefit Plans	-	-	-	876,477	876,477
Total Comprehensive Income	-	5,091,579	-	54,967,208	60,058,787
Balance as at 31 December 2022	500,000,000	19,490,650	11,998,572	12,326,091	543,815,313

The Accounting Policies and Notes on pages 70 through 115 form an integral part of the Financial Statements.

STATEMENT OF CASH FLOWS

Year ended 31 December 2022	Notes	2022 Rs.	2021 Rs.
Operating Activities			
Contribution (Premium) received from customers		1,058,754,378	930,997,169
Retakaful (Reinsurance) Premium paid		(45,238,105)	(22,375,886)
Claims, Benefits and Expenses paid		(511,012,351)	(443,025,113)
Retakaful (Reinsurance) Receipts in respect of Claims		10,422,572	29,476,097
Cash paid to and behalf of Employees		(191,092,264)	(177,557,813)
Profits Received from Investments		369,428,254	248,770,182
Finance Cost paid	26	(9,252,801)	(9,286,724)
Other operating cash payments		(262,168,366)	(316,706,430)
Net Flow from Operating Activities (Note A)		419,841,316	240,291,482
Investing Activities			
Purchase of Investment Securities		(2,406,604,311)	(1,078,432,967)
Disposal of Investment Securities		1,842,965,168	882,434,044
Dividends received		5,096,982	7,079,453
Purchase of Property, Plant & Equipment	5.1	(9,267,444)	(4,653,458)
Proceeds from Disposal of Property, Plant & Equipment		-	277,542
Net Cash Flow used in Investing Activities		(567,809,605)	(193,295,386)
Financing Activities			
Subordinated Debt	15	(20,000,000)	-
Repayment of Finance Lease Liability	18	(7,327,500)	(7,788,760)
Net cash flow from financial activities		(27,327,500)	(7,788,760)
Net Increase/(Decrease) in Cash and Cash Equivalents		(175,295,789)	39,207,336
Cash and Cash Equivalents at the Beginning of the Year		289,851,029	250,643,694
Cash and Cash Equivalents at the end of the Year	12.1	114,555,240	289,851,029
Note A		2022 Rs.	2021 Rs.
Reconciliation of Operating Profit with Cash Flows from Operations			
Profit from Operations		63,343,532	18,845,638
Depreciation	5	9,236,949	7,376,845
Amortisation	4	1,446,263	1,306,369
Depreciation Right of Use of Asset	6	6,253,193	5,982,083
Provision for Employee Benefits	14.1	756,332	1,987,557
Unrealised (Income)/Losses		(21,819,755)	(10,768,392)
Decrease/(Increase) in Debtors and Other Assets		(5,373,258)	3,106,463
Increase in Family Takaful (Long Term Insurance) Fund		285,948,395	184,031,172
(Decrease)/Increase in Unearned Contribution (Premium)		(2,723,534)	2,836,086
(Decrease)/Increase in Other Creditors		96,589,833	35,320,772
Exchange Gain/Loss		(1,890,840)	(446,387)
Cash Flow from Operating Activities		431,767,110	249,578,206
Finance Cost paid		(9,252,801)	(9,286,724)
Gratuity Paid	14	(2,672,992)	-
Net Cash Flow from Operating Activities		419,841,316	240,291,482

The Accounting Policies and Notes on pages 70 through 115 form an integral part of the Financial Statements.

SEGMENT ANALYSIS - STATEMENT OF FINANCIAL POSITION

Year ended 31 December 2022

	Family Takaful Fund Rs.	Shareholders' Fund Rs.	Adjustments Rs.	2022 Total Rs.	2021 Total Rs.
Assets					
Intangible Assets	-	20,455,549	-	20,455,549	17,420,164
Property, Plant and Equipment	-	21,318,102	-	21,318,102	25,769,256
Right Of Use Asset	-	11,954,352	-	11,954,352	13,251,240
Investment Property	-	150,550,000	-	150,550,000	147,500,000
Financial Investments	648,476,359	401,156,685	-	1,049,633,044	880,303,822
Contribution (Premium) Receivable	37,975,619	-	-	37,975,619	35,952,417
Other Assets	3,682,082	37,575,871	-	41,257,953	37,907,895
Financial Investments - Unit Linked	2,425,246,987	-	-	2,425,246,987	2,121,644,837
Interfund Receivable	-	72,340,030	(72,340,030)	-	-
Cash and Bank Balances	35,938,988	10,568,038	-	46,507,026	60,920,009
Cash and Bank Balances - Unit Linked	15,841,002	-	-	15,841,002	9,583,462
Total Assets	3,167,161,036	725,918,627	(72,340,030)	3,820,739,634	3,350,253,102
Liabilities					
Insurance Contract Liabilities - Family Takaful Fund	356,693,216	-	-	356,693,216	397,380,854
Insurance Contract Liabilities - Unit Linked	2,473,579,681	-	-	2,473,579,681	2,149,698,432
Employee Benefits	-	10,820,935	-	10,820,935	13,614,072
Subordinated Debt	-	122,612,346	-	122,612,346	88,004,732
Other Liabilities - Unit Linked	118,930,337	-	-	118,930,337	80,207,746
Lease Liability	-	13,039,310	-	13,039,310	14,209,487
Other Liabilities	126,127,122	55,121,373	-	181,248,496	123,381,254
Interfund Payable	72,340,030	-	(72,340,030)	-	-
Total Liabilities	3,147,670,386	201,593,964	(72,340,030)	3,276,924,321	2,866,496,577
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	-	500,000,000	-	500,000,000	500,000,000
Other Reserves	19,490,650	11,998,572	-	31,489,222	26,397,643
Revenue Reserves	-	12,326,091	-	12,326,091	(42,641,117)
Total Equity	19,490,650	524,324,663	-	543,815,313	483,756,526
Total Equity and Liabilities	3,167,161,036	725,918,627	(72,340,030)	3,820,739,634	3,350,253,102

The Accounting Policies and Notes on pages 70 through 115 form an integral part of the Financial Statements.

SEGMENT ANALYSIS - STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December 2022

	Family Takaful Rs.	Shareholders' Fund Rs.	Adjustments Rs.	2022 Total Rs.	2021 Total Rs.
Gross Written Contribution (Premium)	1,060,777,579	-	-	1,060,777,579	929,830,479
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(60,259,897)	-	-	(60,259,897)	(45,275,121)
Net Written Contribution (Premium)	1,000,517,682	-	-	1,000,517,682	884,555,358
Add : Unearned Takaful Contribution (Premium) at the beginning of the year	7,654,162	-	-	7,654,162	4,818,076
Less : Unearned Takaful Contribution (Premium) at the end of the year	(4,930,629)	-	-	(4,930,629)	(7,654,162)
Net Earned Contribution (Premium)	1,003,241,216	-	-	1,003,241,216	881,719,271
Other Income					
Allocation Fee from Contribution (Premium)	-	408,710,233	(408,710,233)	-	-
Allocation fee from Investment Income	-	46,237,339	(46,237,339)	-	-
Income from Investments	344,344,374	62,496,743	-	406,841,117	202,511,776
Other Operating Income	-	77,531,290	(34,093,991)	43,437,299	60,202,621
Total Revenue	1,347,585,590	594,975,606	(489,041,564)	1,453,519,632	1,144,433,669
Benefits, Losses and Expenses					
Takaful (Insurance) claims and benefits-net	(518,768,780)	-	-	(518,768,780)	(427,036,400)
Acquisition Cost (Net of Reinsurance Commission)	(1,643,435)	(147,638,399)	-	(149,281,833)	(135,022,215)
Increase in Family Takaful (Long Term Insurance) Fund	(285,948,395)	-	-	(285,948,395)	(184,031,172)
Allocation Fee from Contribution (Premium)	(454,947,573)	-	454,947,572	-	-
Profit / (Loss) from Operations	86,277,407	447,337,207	(34,093,992)	499,520,623	398,343,882
Less : Indirect Expenses					
Other Operating, Investment Related and Administration Expenses	(86,277,406)	(373,310,464)	34,093,991	(425,493,878)	(370,815,029)
Amortisations	-	(1,446,263)	-	(1,446,263)	(1,306,369)
Depreciation	-	(9,236,949)	-	(9,236,949)	(7,376,845)
Finance Cost	-	(9,252,801)	-	(9,252,801)	(9,286,724)
Profit/(Loss) Before Taxation	-	54,090,730	-	54,090,731	9,558,914
Income Tax	-	-	-	-	-
Profit/(Loss) for the period	-	54,090,731	-	54,090,731	9,558,914

The Accounting Policies and Notes on pages 70 through 115 form an integral part of the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1. Corporate Information

1.1 General

Amana Takaful Life PLC ("the Company") is a public listed company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

1.2 Principal Activities And Nature Of Operations

The principal activities of the Company are underwriting of Family (Life) Takaful Insurance businesses in both unitized and non – unitized contracts. Unit – Linked contracts are which, contract benefits are determined by reference to the unit prices of respective investment fund.

the commercial operations of the Company commenced with effect from 1 January 2015 as follows.

Amana Takaful Life PLC was incorporated on 10 July 2014 in order to transfer the Family Takaful business of Amana Takaful PLC, with effect from 1 January 2015 in line with the requirement to segregate Life and General Insurance business as required by the RII (Amendment) Act No. 03 of 2011.

Amana Takaful Life Limited listed on Diri Savi Board of the Colombo Stock Exchange in the year 2016 by way of offering 50 million ordinary voting shares at 1.50 rupees per share, which represents a 10 percent stake in the Company. Company's name was changed during the year from Amana Takaful Life Limited to Amana Takaful Life PLC.

In terms of Articles 9 of the Articles of the Association of the company, the shareholders having approved a consolidation of shares, every 10 existing issued ordinary share to 1 share without any change to the Share Capital of the Company on 30th July 2018, the issued number of shares have reduced from 500,000,000 fully paid shares to 50,000,000 fully paid shares.

1.3 Parent Entity And Ultimate Parent Entity

The parent entity of the Company is Amana Takaful PLC.

1.4 Date Of Authorization For Issue

The Financial Statements of Amana Takaful Life PLC for the year ended 31 December 2022 was authorized for issue by the Board of Directors on 23 May 2023.

1.5 Responsibility For Financial Statements

The Board of Directors is responsible for these Financial Statements.

2. Basis Of Preparation

The Company's Statement of Financial Position represents the assets, liabilities of Family Takaful Fund (Unitized and Non – Unitized) and equity of Shareholders' Fund.

The Company's Statement of Comprehensive Income reflects revenue, investment income, other income and related expenses attributable to Family Takaful Fund (Unitized and Non – Unitized) and Shareholders' Fund.

Financial assets and financial liabilities are offset, and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.1 Statement Of Compliance

The Financial Statements are prepared and presented in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and they also provide information as required under the Companies Act, No. 07 of 2007, Regulation of Insurance Industry Act, No. 43 of 2000 and amendments thereto, Sri Lanka Accounting and Auditing Standards Act No 15 of 1995, Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, Listing Rules of the Colombo Stock Exchange (CSE).

2.2 Basis Of Measurement

The Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles in Property, Plant and Equipment measured at fair value (as at 31.12.2022)
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholder's liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognized at the present value

The Company presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional And Presentation Currency

These Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional and presentation currency.) and all financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee

2.4 Use Of Estimates And Judgments

In the process of applying the Company's accounting policies, management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognized in the Financial Statements. Further management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the Financial Statements. Actual results may differ from these estimates.

2.4.1 Assumptions And Estimations

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

The key items as such are discussed below.

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2022 is included in the following notes:

Actuarial Valuations Of The Insurance Provisions

Note 13 - Long Term Insurance Provision- (Family Takaful Fund)

The valuation of Long Term Insurance Provision was carried out by Mr. Zainal Abidin Mohd Kassim (BSC, FIA, ASA) of Actuarial Partners Consulting Sdn Bhd.

Life insurance liabilities are recognized when contracts are entered into and premiums are receivable. At each reporting date, an assessment is made of whether the recognized life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 13 to the Financial Statements.

Note 14 – Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long term nature of such obligations these estimates are subject to significant uncertainty (Note 14.2).

Note 28 - Deferred Tax Asset

Deferred tax assets are recognized for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the best estimate of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

Note 8 & 11 - Fair Value Of Financial Investments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical techniques.

Note 31 – Commitments & Contingencies

The Company receives legal claims against in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claim is uncertain, as in the amount of possible outflow of economic benefits.

Timing and cost ultimately depend on the due process in respective legal jurisdiction.

2.5 Measurement Of Fair Values

A number of the Company's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (Unobservable inputs).

NOTES TO THE FINANCIAL STATEMENTS

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Company recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 5 - Property, Plant and Equipment
- Note 8 & 11 - Financial Investments

2.6 Segment Reporting

A segment is a distinguishable component of the Company engaged in providing services subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Company's management structure.

Segmentation has been determined based on the activities of the Company or sectors into which the product or services are sold. The primary format is based on the core business, Family and Fund management services of Shareholders' Fund.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Company's activities are located mainly in Sri Lanka. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

These Financial Statements are presented on the assumption that the Company is a going concern. The Directors have made an assessment of the Company's ability to continue as a going concern and they do not intend to liquidate.

2.8 Right-Of-Use Assets And Operating Lease Liability

The Company uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets. The Company applies judgements in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic benefit for it to exercise either the renewal or termination. The Company can readily determine the interest rate implicit in the lease. Therefore, it does not require to use incremental borrowing rate to measure operating lease liability.

The incremental borrowing rate is the rate of interest that the Company would have to pay to borrow over a similar term and with similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in similar economic environment.

Summary Of Significant Accounting Policies

2.8.1 Foreign Currency

Foreign Currency Transactions

Transactions in foreign currencies are translated to the respective functional currencies of Company at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognised in OCI are reclassified to profit or loss); are recognised in Other Comprehensive Income.

2.8.2 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that items recognized directly in equity or in Other Comprehensive Income.

Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue.

The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 and the amendments thereto.

Deferred Taxation

Deferred income tax is assessed, using the asset method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences. Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilized.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilized.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

2.8.3 Intangible Assets

Software

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortization and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the Statement of Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortization methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortization method
Computer Software	20 years	Straight line method

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Comprehensive Income when the asset is derecognized.

2.8.4 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period to which it relates, on a straight-line basis.

NOTES TO THE FINANCIAL STATEMENTS

2.8.5 Retakaful (Reinsurance) And Contribution (Premium) Receivable

The Company cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the re insurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the re insurer. The impairment loss is recorded in the Statement of Comprehensive Income.

Premiums and claims on assumed reinsurance are recognized as revenue or expenses in the same manner as they would be if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance. Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognized when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Comprehensive Income.

2.8.6 Other Assets & Receivables

Other assets & receivables are stated at their estimated realizable value.

2.8.7 Property, Plant And Equipment

Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The motor vehicles are revalued every three years on a roll-over basis to ensure that the carrying amounts do not differ materially from the fair value at the reporting date.

An item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on de-recognition of the asset is included in the Statement of Comprehensive Income in the year the asset is de-recognised.

Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant and Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised as an expense when incurred.

Depreciation

The Company provides depreciation from the date of assets are available for use up to the date of disposal on a straight - line basis over the period appropriate to the estimated useful lives of the different types of assets. Operating Leased assets if any, are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant and Equipment are as follows:

Class	Useful Life
Motor Vehicles	05 Years
Computer Equipment	05 Years
Other Equipment	05 Years
Furniture & Fittings	05 Years
Leasehold vehicle	05 Years

The Company provides depreciation from the date the assets are available for use up to the date of disposal.

2.9 Financial Investments

The Company classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Company classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Company's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortized cost.

The Company's existing types of financial instruments and their classifications are shown in the table below.

Financial Asset	Category
Equity Shares	Fair Value Through Profit or Loss and Available – for – Sale
Unit Trust	Available for Sale
Term Deposits/ Mudharaba Deposits	Loans and Receivables
Treasury Bills/ Repurchase Agreements	Loans and Receivables
Commercial Papers	Loans and Receivables
Gold	Fair Value through Profit or Loss
Financial Liability	Category
Other Liabilities	Other Financial Liabilities

2.9.1 Recognition Of Financial Instruments

The Company initially recognizes loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value Through Profit or Loss) are recognised initially on the trade date, which is the date that the Company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

2.9.2 Measurement

Financial Assets At Fair Value Through Profit Or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognizing gains or losses on a different basis; or The assets and liabilities are part of a Company of financial instruments, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy. These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in Statement of Comprehensive Income as incurred. Subsequent to initial recognition, these investments are re-measured at fair value. Fair value adjustments and realized gain and loss are recognized in the Statement of Comprehensive Income.

Loans And Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognized at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortized cost, using the effective interest rate method. Gains and losses are recognized in the Statement of Comprehensive Income when the investments are derecognized or impaired, as well as through the amortization process.

NOTES TO THE FINANCIAL STATEMENTS

Cash And Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts.

Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents. The cash flow statement has been prepared using the direct method. Interest and dividend received are classified as operating cash flows.

Available-For-Sale Financial Investments

Available-For-Sale financial assets are non-derivative financial assets that are designated as Available-For-Sale or are not classified in any of the three preceding categories.

These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, Available-For-Sale financial assets are measured at fair value. Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the Available For Sale Reserve until the investment is derecognized or the investment is determined to be impaired.

On de-recognition or impairment, the cumulative fair value gains and losses previously reported in equity are transferred to the Statement of Comprehensive Income.

Other Financial Liabilities are non-derivative financial liabilities which are initially recognized at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

2.9.3 Impairment Of Financial Investments

Financial assets not classified as at fair value through profit or loss are assessed at each reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Company on terms that the Company would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- observable data indicating that there is measurable decrease in expected cash flows from a Company of financial assets.

Assets Carried At Amortized Cost

If there is objective evidence that an impairment loss on assets carried at amortized cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate.

The carrying amount of the asset is reduced and the loss is recorded in the Statement of Comprehensive Income.

The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a Company of financial assets with similar credit risk characteristics and that Company of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment. The impairment assessment is performed at each Reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed. Any subsequent reversal of an impairment loss is recognized in the Statement of Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

Available-For-Sale Financial Investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortization) and its current fair value, less any impairment loss previously recognized in other comprehensive income, is transferred from equity to the Statement of Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognized in the Statement of Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognized in the Statement of Comprehensive Income.

Financial Assets Carried At Cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

2.9.4 De-Recognition Of Financial Instruments

A financial asset (or, when applicable, a part of a financial asset or part of a Company of similar financial assets) is derecognized when,

- The rights to receive cash flows from the asset have expired
- The Company retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement
- The Company has transferred its rights to receive cash flows from the asset and either:
- Has transferred substantially all the risks and rewards of the asset, or
- Has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Company's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Company's continuing involvement is the amount of the transferred asset that the Company may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Company's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Company derecognizes a financial liability when its contractual obligations are discharged or cancelled, or expire.

2.10 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day to day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognized when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the Statement of Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Company accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change.

NOTES TO THE FINANCIAL STATEMENTS

2.11 Liabilities And Provisions (Excluding Insurance Contracts)

Provisions (Excluding Insurance Contracts)

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognized as finance cost.

2.12 Employee Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognized in the Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'. However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Company is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Statement of Financial Position.

The item is stated under Employee Benefit Liability in the Statement of Financial Position.

Recognition Of Actuarial Gains And Losses

Actuarial gains or losses are recognised in the Statement of Other Comprehensive Income in the period in which they arise.

Funding Arrangements

The Gratuity liability is not externally funded.

Defined Contribution Plans – Employees' Provident Fund (EPF) & Employees' Trust Fund (ETF)

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective statutes and regulations. The Company contributes 12 % and 3 % of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

Short-Term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

2.13 Impairment Of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or Company of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Comprehensive Income unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

2.14 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies. Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in-force or, for annuities, the amount of expected benefit payments.

Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement. Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

Technical Provisions – Family Takaful Business Provision And Provision For Unit Linked Liabilities

The Directors agree to the Family Takaful (long term insurance) business provisions for the Company on the recommendation of reporting actuary following his annual investigation of the Family Takaful (life insurance) business.

The actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the consultant actuary.

2.15 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

Wakala Fee (Agency/Allocation Fee)

Wakala Fee (Agency/Allocation Fee) on Takaful Contribution (Insurance Premium)

The Allocation Fee is charged on contribution of Family Takaful certificates at the following rates

Family Takaful Products

First Year	80%
Second Year	45%
Third	02%
Fourth Year	02%
Fifth & after	02%
Mortgage Family Takaful (Insurance) Policies	20%
Company Family Takaful (Insurance) Policies	30%

Wakala Fee (Agency/Allocation Fee) On Investment Income

The Shareholders' fund is entitled for Allocation fee of 50% on net investment income, only on Family Takaful Fund.

NOTES TO THE FINANCIAL STATEMENTS

2.15.1 Investment Income

Income From Government Security

Interest income is recognized in the Statement of Comprehensive Income as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognized as an adjustment to the effective interest rate of the instrument.

Dividend Income

Investment income also includes dividends when the right to receive payment is established. For listed securities, this is the date the security is listed as ex dividend.

Realised/Unrealised Gains And (Losses)

Realized gains and losses recorded in the Statement of Comprehensive Income on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortized cost and are recorded on occurrence of the sale transaction.

Others

Other income consists with fund management fee, rental income and income from surpluses from re – insurers. All other income is recognized on an accrual basis.

2.16 Expenditure Recognition

Expenses are recognised in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant and Equipment in a state of efficiency has been charged to the Statement of Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Comprehensive Income, the Directors are of the opinion that nature of expenses method presents fairly the elements of the Company's performance, and hence such presentation method is adopted.

2.17 Events After The Reporting Period

All material post reporting events have been considered and where appropriate adjustments or disclosures have been made in Note 32 to the Financial Statements.

2.18 Capital Commitments & Contingencies

Capital commitments and contingent liabilities of the Company are disclosed in the Financial Statements.

2.19 Stated Capital

Stated capital in relation to a company means the total of all amounts received by the Company or due and payable to the Company.

2.20 Current And Non-Current Classification

The Company presents assets and liabilities in statement of financial position under liquidity basis. Current non-current analysis of financial assets and liabilities are given under liquidity disclosure (Note 34.7).

3. Standards Issued But Not Yet Effective

The new and amended standards and interpretations that are issued up to the date of issuance of Amana Takaful Life PLC's financial statements but are not effective for the current annual reporting period, are disclosed below. Amana Takaful Life PLC intends to adopt these new and amended standards and interpretations, if applicable, when they become effective

3.1 SLFRS 17 Insurance Contracts:

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts (SLFRS 4) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply. The overall objective of SLFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in SLFRS 4, which are largely based on grandfathering previous local accounting policies, SLFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2025, with comparative figures required. Early application is permitted; provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17.

3.2 Definition Of Accounting Estimates - Amendments To LKAS 8

The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates. The amended standard clarifies that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors

The amendments are effective for annual reporting periods beginning on or after 1 January 2023. Earlier application is permitted.

3.3 Deferred Tax Related To Assets And Liabilities Arising From A Single Transaction - Amendments To LKAS 12

The amendments clarify that where payments that settle a liability are deductible for tax purposes, it is a matter of judgement (having considered the applicable tax law) whether such deductions are attributable for tax purposes to the liability recognised in the financial statements (and interest expense) or to the related asset component (and interest expense). This judgement is important in determining whether any temporary differences exist on initial recognition of the asset and liability.

Also, under the amendments, the initial recognition exception does not apply to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. It only applies if the recognition of a lease asset and lease liability (or decommissioning liability and decommissioning asset component) give rise to taxable and deductible temporary differences that are not equal.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.

3.4 Disclosure Of Accounting Policies - Amendments To LKAS 1 And Ifrs Practice Statement 2

Amendments to LKAS 1 and IFRS Practice Statement 2 Making Materiality Judgements, provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by:

- Replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies
- Adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.

3.5 Classification Of Liabilities As Current Or Non-Current - Amendments To LKAS 1

Amendments to LKAS 1 Presentation of Financial Statements specify the requirements for classifying liabilities as current or non-current. The amendments clarify –

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification
- Disclosures

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.

NOTES TO THE FINANCIAL STATEMENTS

4. Standards Issued But Not Yet Effective

Impending accountings standards / Standards issued not yet effective.

Certain new accounting standards and amendments / improvements to existing standards have been published, that are not mandatory for 31 December 2019 reporting periods. None of those have been early adopted by the Company.

4.1 Sri Lanka Accounting Standard (SLFRS) 9 - Financial Instruments:

In December 2014, the CA Sri Lanka issued the final version of SLFRS 9 Financial Instruments classification and measurement which reflects all phases of the financial instruments project and replaces LKAS 39 – Financial Instruments: Recognition and Measurement

SLFRS 9 is effective for annual periods beginning on or after 01st January 2019, with an early application permitted. Retrospective application is required, but comparative information is not compulsory.

Temporary Exemption From SLFRS 9

An insurer that meets the criteria in paragraph 20B of SLFRS 4 (amended) provides a temporary exemption that permits but does not require the insurer to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 1st January 2023.

An insurer may apply the temporary exemption from SLFRS 9 if, and only if;

- 1) It has not previously applied any version of SLFRS 9, other than only the requirements of the presentation of gains and losses on financial liabilities designated as at Fair Value Through Profit or Loss and;
- 2) Its activities are predominantly connected with insurance, at its annual reporting date that immediately precedes 01st April 2016, or at a subsequent annual reporting date.

Having considered the above criteria, since Amana Takaful PLC and Amana Takaful Life PLC are connected with insurance activities, both the companies may continue to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 01 January 2023. As at reporting date insurance related liabilities are above 90% which is the minimum percentage eligible to exemption as per SLFRS 9.

4.2 SLFRS 17 - Insurance Contracts

As recommended by the Accounting Standards Committee, the Institute of Chartered Accountants of Sri Lanka has decided to adopt SLFRS 17 Insurance Contracts with effective from annual reporting periods beginning on or after 1 January 2022.

However, International Accounting Standard Board (IASB) has tentatively decided to defer the effective date of IFRS 17 to period beginning on or after 1 January 2023.

SLFRS 4 permitted insurers to continue to use the statutory basis of accounting for insurance assets and liabilities that existed in their jurisdictions prior to January 2005. SLFRS 17 replaces this with a new measurement model for all insurance contracts.

SLFRS 17 requires liabilities for insurance contracts to be recognized as the present value of future cash flows, incorporating an explicit risk adjustment, which is updated at each reporting date to reflect current conditions, and a contractual service margin (CSM) that is equal and opposite to any day-one gain arising on initial recognition. Losses are recognized directly into the income statement. For measurement purposes, contracts are grouped together into contracts of similar risk, profitability profile and issue year, with further divisions for contracts that are managed separately.

Profit for insurance contracts under SLFRS 17 is represented by the recognition of the services provided to policyholders in the period (release of the CSM), release from non-economic risk (release of risk adjustment) and investment profit.

The CSM is released as profit over the coverage period of the insurance contract, reflecting the delivery of services to the policyholder. For certain contracts with participating features (where a substantial share of the fair value of the related investments and other underlying items is paid to policyholders) the CSM reflects the variable fee to shareholders. For these contracts, the CSM is adjusted to reflect the changes in economic experience and assumptions. For all other contracts the CSM is only adjusted for non-economic assumptions.

SLFRS 17 introduces a new measure of insurance revenue, based on the delivery of services to policyholders and excluding any premiums related to the investment elements of policies, which will be significantly different from existing premium revenue measures, currently reported in the income statement. In order to transition to SLFRS 17, the amount of deferred profit, being the CSM at transition date, needs to be determined.

SLFRS 17 requires, this CSM to be calculated as if the standard had applied retrospectively. If this is not practical, an entity is required to choose either a simplified retrospective approach or determine the CSM by reference to the fair value of the liabilities at the transition date. The approach for determining the CSM will have a significant impact on both shareholders' equity and on the amount of profits on in-force business in future reporting periods.

SLFRS 17 Implementation Program.

SLFRS 17 is expected to have a significant impact, as the requirements of the new standard are complex and requires a fundamental change to accounting for insurance contracts as well as the application of significant judgement and new estimation techniques. The effect of changes required to the Company's accounting policies as a result of implementing these standards are currently uncertain, but these changes can be expected to, among other things, alter the timing of profit recognition. Given the implementation of this standard is likely to involve significant enhancements to IT, actuarial and finance systems of the Company, it will also have an impact on the Company's expenses.

The Company has an implementation programme underway to implement SLFRS 17 and SLFRS 9. The scope of the programme consists of setting accounting policies and developing application methodologies, establishing appropriate processes and controls, sourcing appropriate data and implementing actuarial and finance system changes.

The Steering Committee chaired by both Chief Financial Officer and General Manager Actuarial provides oversight and strategic direction to the implementation programme along with the involvement of external consultants.

The Company remains on track to providing SLFRS 17 financial statements in line with the requirements for interim reporting at its effective date, which is currently expected to be 2024 or 2025.

4.3 Amendments To Sri Lanka Accounting Standard - LKAS 1 "Presentation To Financial Statements" And Sri Lanka Accounting Standard - LKAS 8 "Accounting Policies, Changes In Accounting Estimates And Errors"

The amendments LKAS 1 "Presentation of Financial Statements" and LKAS 8 "Accounting policies, Changes in accounting Estimates and Errors" align the definition of "material" across the standard and clarify certain aspects of the definition. The new definition states that, "information is material if omitting or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

The amendments are applied prospectively for the annual periods beginning on or after 1st January 2020 with early application permitted.

The Company will apply these amendments when they become effective.

4.4 Amendments To References To The Conceptual Framework In SLFRS Standards Revisions To The Conceptual Framework Were Made Because Some Important Issues Were Not Covered, And Some Guidance Was Unclear Or Out Of Date. The Revised Conceptual Framework Includes:

- a new chapter on measurement;
- guidance on reporting financial performance;
- improved definitions of an asset and a liability, and guidance supporting these definitions; and
- clarifications in important areas, such as the roles of stewardship, prudence and measurement uncertainty in financial reporting

The amendments are effective for annual periods beginning on or after 1st January 2020, with early application is permitted. The Company will apply these amendments when they become effective.

NOTES TO THE FINANCIAL STATEMENTS

4. Intangible Assets

As at 31 December

	2022 Rs.	2021 Rs.
Cost		
At beginning of the year	26,211,992	25,848,652
Additions during the year	4,481,648	363,340
At end of the year	30,693,640	26,211,992
Amortisation		
At beginning of the year	8,791,828	7,485,458
Amortisation charge for the year	1,446,263	1,306,369
At end of the year	10,238,091	8,791,828
Carrying value	20,455,549	17,420,164

4.1 Acquisition Of Intangible Assets During The Year

During the financial year, the Company acquired Rs. 4,481,648/= of Intangible Assets (Computer Software) (2021 - Rs. 363,340).

4.2 Fully Amortised Intangible Assets In Use

There are no intangible assets that is amortised fully as at reporting date.

4.3 Title Restriction On Intangible Assets

There are no restrictions that existed on the title of the Intangible Assets of the Company as at the Reporting Date.

4.4 Assessment Of Impairment Of Intangible Assets

The Board of Directors has assessed potential impairment indicators of intangible assets as at 31 December 2022. Based on the assessment, no impairment indicators were identified.

4.5 Capitalisation Of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Intangible assets during the year (2021 - Nil).

5. Property, Plant And Equipment

As at 31 December

	2022 Rs.	2021 Rs.
Freehold Property, Plant and Equipment (Note 5.1)	21,318,102	25,769,256
	21,318,102	25,769,256

5.1 Freehold Property, Plant And Equipment

	Balance as at 01.01.2022	Additions during the Year	Disposals during the Year	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31.12.2022
At Cost	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	12,500,000	186,937	-	-	-	12,686,937
Computer Equipment	10,188,222	3,158,550	-	-	-	13,346,772
Other Equipment	18,663,693	251,650	-	-	-	18,915,343
Furniture and Fittings	16,817,341	1,188,659	-	-	-	18,006,000
Total Value of Depreciable Assets	58,169,256	4,785,796	-	-	-	62,955,052

	Balance as at 01.01.2022	Charge for the Year	Disposals during the Year	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31.12.2022
Accumulated Depreciation	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	133,636	2,704,968	-	-	-	2,838,604
Computer Equipment	7,950,753	1,017,006	-	-	-	8,967,759
Other Equipment	12,097,916	3,103,139	-	-	-	15,201,055
Furniture and Fittings	12,217,696	2,411,836	-	-	-	14,629,532
Total Depreciation	32,400,001	9,236,949	-	-	-	41,636,950
Carrying Amount	25,769,256					21,318,102

	Balance as at 01.01.2021	Additions during the Year	Disposals during the Year	Increase / Decrease in Revaluation	Eliminations	Balance as at 31.12.2021
At Cost	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	337,986	3,662,440	(151,049)	9,554,575	(903,952)	12,500,000
Computer Equipment	9,310,122	878,100	-	-	-	10,188,222
Other Equipment	16,802,643	1,861,051	-	-	-	18,663,693
Furniture and Fittings	14,903,034	1,914,308	-	-	-	16,817,341
Total Value of Depreciable Assets	41,353,784	8,315,899	(151,049)	9,554,575	(903,952)	58,169,256

	Balance as at 01.01.2021	Charge for the Year	Disposals during the Year	Increase / Decrease in Revaluation	Eliminations	Balance as at 31.12.2021
Accumulated Depreciation	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	135,305	981,740	(79,457)	-	(903,952)	133,636
Computer Equipment	6,995,477	955,276	-	-	-	7,950,753
Other Equipment	8,948,666	3,149,250	-	-	-	12,097,916
Furniture and Fittings	9,927,117	2,290,579	-	-	-	12,217,696
Total Depreciation	26,006,565	7,376,845	(79,457)	-	(903,952)	32,400,001
Carrying Amount	15,347,219					25,769,256

NOTES TO THE FINANCIAL STATEMENTS

5.2 Acquisition Of Property, Plant And Equipment During The Year

During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 4,785,796/- for cash consideration. (2021 Rs. 4,653,458/-).

5.3 Fully Depreciated Property, Plant And Equipment In Use

Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs. 20,073,298 (2021 - Rs. 11,916,710)

5.4 Title Restriction On Property, Plant And Equipment

There are no restrictions that existed on the title of the Property, Plant and Equipment of the Company as at the Reporting Date.

5.5 Assessment Of Impairment Of Property, Plant And Equipment

The Board of Directors has assessed potential impairment indicators of Property, Plant and Equipment as at 31 December 2022. Based on the assessment, no impairment indicators were identified.

5.6 Capitalisation Of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Property, Plant and Equipment during the year (2021 - Nil).

5.7 Revaluation

In 2021, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a independent professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. In carrying out such valuation market value of similar market, life and condition and year of manufacture of vehicles have been used as main inputs. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

	2022 Rs.	2021 Rs.
Cost	3,849,377	3,849,377
Accumulated depreciation	(2,416,832)	(1,037,588)
Carrying Value	1,432,545	2,811,789

6. Right Of Use Of Asset

6.1 Application Of SLFRS 16 - Leases

The company recognises a right-of-use asset and a lease liability at the lease commencement date. The right of use assets of the company consist of a vehicle taken on lease which were previously recognised as finance leases under LKAS 17.

6.2 The present value of operating lease commitments has been calculated using weighted average incremental borrowing rates of the company.

6.3 The company has elected not to recognize right of use assets and lease liabilities for leases of low value assets and short term leases. The company recognizes the lease payments associated with these leases as an expense on a straight line basis over the lease term.

	Vehicle Rs.	2022 Property Rs.	Total Rs.	2021 Rs.
Opening right of use lease asset as at 01st January	-	13,251,240	13,251,240	20,838,753
Addition	-	4,956,305	4,956,305	2,057,010
Transferred to (PPE)	-	-	-	(3,662,440)
Depreciation for the period	-	(6,253,193)	(6,253,193)	(5,982,083)
Closing Right of use asset as at 31 December	-	11,954,352	11,954,352	13,251,240

7. Investment Property

As at 31 December

	2022 Rs.	2021 Rs.
Balance as at 1st January	147,500,000	147,500,000
Addition during the year	-	-
Net Gain/(Loss) from Fair Value Adjustment	3,050,000	-
At end of the year	150,550,000	147,500,000

During the financial year, the Amana Takaful Life PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs.109,340 (2021 - 111,646) and made a provision of Renovation expenses to the aggregate Value of Rs.2,000,000/- (2021 - Rs.Nil).

Fair Value Hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr. P. P. T. Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Company's investment property portfolio annually. The Company's entire class of investment properties were revalued on 31 December 2022.

The fair value measurement for investment property of Rs.150,550,000/- (2021 - Rs. 147,500,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows :

Details	Extent	Fair Value 2022 Rs.	Per Perch/ Sq. ft. Value Rs.	Fair Value 2021 Rs.	Per Perch/ Sq. ft. Value Rs.
Land	5.5 Perches	137,500,000	25,000,000 per Perch	137,500,000	25,000,000 per Perch
Building	2,610 sq. ft	13,050,000	5000 per sq. ft	10,000,000	3,831 per sq. ft

The Building is one continuous block holding the address 451, Old Moor Street Colombo 12

NOTES TO THE FINANCIAL STATEMENTS

Sensitivity

Reasonably possible changes at the reporting date to one of the relevant inputs, holding other assumptions constant, would have affected the investment property by the amounts shown below.

	31 December 2022		31 December 2021	
	Increase	Decrease	Increase	Decrease
Per Perch Value (Rs.100,000 movement)	550,000	(550,000)	550,000	(550,000)
Per square Feet (Rs.1000 movement)	2,610,000	(2,610,000)	2,610,000	(2,610,000)

8. Financial Investments

As at 31 December

	2022 Rs.	2021 Rs.
Financial Assets at Fair Value Through Profit or Loss (Note 8.1.1)	159,750,000	135,168,750
Available-For-Sale Financial Assets (Note 8.1.2)	63,013,518	60,972,793
Loans and Receivable (Note 8.1.3)	826,869,526	684,162,279
	1,049,633,044	880,303,822

8.1 Fair Value Through Profit or Loss Investments and Available-For-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

8.1.1 Financial Investments At Fair Value Through Profit Or Loss

	2022 Rs.	2021 Rs.
Investments in Gold	159,750,000	135,168,750
	159,750,000	135,168,750

8.1.2 Financial Investments At Available-For-Sale Financial Assets

	2022 Rs.	2021 Rs.
Unit Trust - Candor Balance Fund	17,889,963	16,285,293
Unit Trust - Candor Income Fund	14,074,263	17,313,578
Unit Trust - NDB Money Plus Fund	31,049,291	27,373,922
	63,013,518	60,972,793

8.1.3 Loans And Receivable

	2022 Rs.	2021 Rs.
Investment in Repurchase Agreements	235,293,182	187,130,863
Mudharaba/ Fixed Term Investments	591,576,344	497,031,416
	826,869,526	684,162,279

8.1.4 Loans and receivables includes a provision of Rs. 75,658,959 (2021 - Rs. 75,658,959). The said provision will be revised upon recovery.

8.2 Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act, No. 43 of 2000.

8.3 Fair Value Hierarchy For Assets Carried At Fair Value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

(a) Fair Value Through Profit Or Loss Financial Assets

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
As at 31 December 2022			
Investments in Equity Securities - Unit Linked (Note 11.1)	62,665,261	-	-
Investments in Gold	-	159,750,000	-
Investments in Gold - Unit Linked	-	51,750,000	-
	62,665,261	211,500,000	-
As at 31 December 2021			
Investments in Equity Securities - Unit Linked (Note 11.1)	116,476,160	-	-
Investments in Gold	-	135,168,750	-
Investments in Gold - Unit Linked	-	7,593,750	-
	116,476,160	142,762,500	-

(b) Available For Sale Financial Assets

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
As at 31 December 2022			
Unit Trust	-	63,013,518	-
Unit Trust - Unit Linked (Note 11.2)		34,161,002	
	-	97,174,520	-
As at 31 December 2021			
Unit Trust	-	60,972,793	-
Unit Trust - Unit Linked (Note 11.2)		31,110,149	
	-	92,082,942	-

The fair value of unit trust directly obtained from the unit trust market and categorized under level two, based on the expanded level of the market. The company used average unit price of Rs.14.05 and Rs.15.31 respectively for unit Linked and non Unit Linked investments as at 31 December 2022.

The following financial instruments not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair value, because for example, they are short - term in nature or repriced to current market rates frequently.

NOTES TO THE FINANCIAL STATEMENTS

	2022 Rs.	2021 Rs.
Carrying Amount		
Financial assets		
Loans and Receivable	826,869,526	684,162,279
Loans and Receivable - Unit Linked	2,276,670,724	1,966,464,779
Contribution (Premium) Receivable	37,975,619	35,952,417
Other Assets	21,797,404	17,592,074
Cash and Bank Balances	46,507,026	60,920,009
Cash and Bank Balances - Unit Linked	15,841,002	9,583,462
Financial liabilities		
Lease Liability	13,039,310	14,209,487
Other Liabilities - Unit Linked	56,654,969	28,620,753
Other Liabilities	83,228,525	59,131,050

9. Contribution (Premium) Receivable

As at 31 December	2022 Rs.	2021 Rs.
Contribution (Premiums) Receivable from Participants	37,975,619	35,952,417
	37,975,619	35,952,417

10. Other Assets

As at 31 December	2022 Rs.	2021 Rs.
Financial Assets (Note 10.1)	21,797,404	17,592,074
Non Financial Assets (Note 10.2)	19,460,549	20,315,821
	41,257,953	37,907,895

10.1 Financial Assets

	2022 Rs.	2021 Rs.
Other Receivables	21,797,404	17,592,074
	21,797,404	17,592,074

10.2 Non Financial Assets

	2022 Rs.	2021 Rs.
Advances and Prepayments	19,460,549	20,315,821
	19,460,549	20,315,821

11. Financial Investments - Unit Linked

As at 31 December

	2022 Rs.	2021 Rs.
Fair Value Through Profit or Loss (Note 11.1)	114,415,261	124,069,910
Available-For-Sale (Note 11.2)	34,161,002	31,110,149
Loans and Receivable (Note 11.3)	2,276,670,724	1,966,464,779
	2,425,246,987	2,121,644,837

11.1 Fair Value Through Profit Or Loss

	2022 Rs.	2021 Rs.
Investment in Equity Securities (Note 11.3.1)	62,665,261	116,476,160
Investments in Gold	51,750,000	7,593,750
	114,415,261	124,069,910

11.2 Available-For-Sale

	2022 Rs.	2021 Rs.
Unit Trust-Candor Income Fund	34,161,002	31,110,149
	34,161,002	31,110,149

11.3 Loans And Receivable

	2022 Rs.	2021 Rs.
Investment in Repurchase Agreements	60,612,070	32,343,266
Fixed Term Investments	2,216,058,654	1,934,121,514
	2,276,670,724	1,966,464,779

NOTES TO THE FINANCIAL STATEMENTS

11.3.1 Investment In Equity Securities

At Fair Value Through Profit or Loss	2022 Number of Shares	Market Value Rs.	2021 Number of Shares	Market Value Rs.
Chevron Lubricants Lanka PLC	63,995	6,175,518	63,995	7,231,435
Dialog Telekom PLC	960,000	8,160,000	960,000	10,464,000
Teejay Lanka PLC	293,000	9,288,100	223,000	9,901,200
Ceylon Grain Elevators PLC	43,141	3,472,851	43,141	5,252,417
Expolanka Holdings PLC	35,668	6,500,493	55,668	20,889,417
Hayleys MGT Knitting Mills PLC (Hayleys Fabric PLC)	250,000	5,650,000	175,000	7,210,000
Lanka Milk Foods (CWE) PLC	30,000	3,712,500	10,000	2,687,500
Lanka Wall Tile PLC	225,000	11,587,500	225,000	27,956,250
Lanka Tiles PLC	3,000	138,300	25,990	2,858,900
Tokyo Cement Company Lanka PLC	90,000	2,340,000	-	-
Hemas Holdings PLC	100,000	5,640,000	-	-
Sunshine Holdings PLC	-	-	242,727	11,019,806
Three Acre Farms PLC	-	-	11,000	3,302,750
ACL Cables PLC	-	-	16,500	1,654,125
Ceylon Cold Stores PLC	-	-	11,412	6,048,360
	2,093,804	62,665,261	2,063,433	116,476,160

12. Cash And Cash Equivalents In Statement Of Cash Flows

12.1 Components Of Cash And Cash Equivalents

As at 31 December	2022 Rs.	2021 Rs.
Cash and Bank Balances	46,507,026	60,920,009
Cash and Bank Balances - Unit Linked	15,841,002	9,583,462
Investments in Government Securities	52,207,212	219,347,558
	114,555,240	289,851,029

13. Insurance Contract Liabilities

As at 31 December

	2022 Rs.	2021 Rs.
Insurance Contract Liability	2,707,180,858	2,477,911,017
Surplus of the Fund	123,092,039	69,168,268
Total Insurance Contract Liability (Note 13.1, Note 13.2)	2,830,272,897	2,547,079,285
13.1 Insurance Contract Liabilities - Family Takaful Fund		
Participant Investment Fund (PIF)	268,062,321	297,753,038
Participant Tabarru Fund (PTF) & Group Fund (GF)	83,700,266	91,973,654
Unearned Premium - Group Family Takaful	4,930,629	7,654,162
	356,693,216	397,380,854
13.2 Insurance Contract Liabilities - Unit Linked		
Unit Fund - Unit Linked	2,397,614,669	2,112,333,088
Participant Tabarru Fund & Group Fund - Unit Linked	75,965,012	37,365,343
	2,473,579,681	2,149,698,432
13.3 The movement in the Life Insurance Fund is as follows:		
Balance as at 1 January	2,547,079,285	2,358,888,270
Net Change in Contract Liabilities	283,193,611	188,191,015
Balance as at 31 December	2,830,272,897	2,547,079,285

13.3.1 Movement In Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarized in the table below by measurement category.

	Takaful Contract Liabilities	
	Gross	Net
As at 31 December 2021	2,504,572,000	2,477,911,000
Reserve Unwinding	(5,007,000)	(4,426,000)
Experience variance	(14,370,000)	(9,244,000)
Change in valuation basis (Methodology)	-	-
Change in valuation basis (Assumptions)	5,549,000	5,390,000
New Business	25,247,000	20,052,000
Others	218,272,000	218,272,000
As at 31 December 2022	2,734,263,000	2,707,955,000

NOTES TO THE FINANCIAL STATEMENTS

13.3.2 Movement In Operation Fund

The movement of the Operation Fund is summarized in the table below by measurement category

	Takaful Contract Liabilities	
	Gross	Net
As at 31 December 2021	12,122,000	12,122,000
Reserve Unwinding	2,368,000	2,368,000
Experience variance	(2,921,000)	(2,921,000)
Change in valuation basis (Methodology)	-	-
Change in valuation basis (Assumptions)	1,688,000	1,688,000
New Business	920,000	920,000
As at 31 December 2022	14,177,000	14,177,000

13.4 The Insurance Provision Has Been Based Upon The Following Assumptions And Other Information.

13.4.1 Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the company has chosen Valuation Interest Rates of 3.7%p.a. and 5.2%p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.6%p.a. is used which is based on the average of the last 4 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality And Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Lapse Assumption

Lapse rate assumptions are based on a combination of the company's experience for early durations as well as industry experience in Sri Lanka. The company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

Expense Assumption

The company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as per policy expense. Further, the maintenance expenses assumptions were derived assuming that 48% of the variable expenses and 12% of the fixed expenses will be charged to the PTF for Family Takaful and Unit - Linked business. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

13.4.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2022 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on the Participating Investment Fund since it represents just the accumulation of investments made by the policy holders, with no guaranteed returns.

13.5 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia as at 31 December 2021 as required by SLFRS 4 - Insurance Contracts. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the sum of the discounted cash flow reserves and any further additional reserves as at 31 December 2022.

14. Employee Benefits

As at 31 December

	2022 Rs.	2021 Rs.
Employee Benefits - Gratuity		
At beginning of the year	13,614,072	11,710,758
Net Benefit Expense (Note 14.1)	(120,145)	1,903,314
	13,493,927	13,614,072
Payments during the year	(2,672,992)	-
At end of the year	10,820,935	13,614,072

14.1 Net Benefit Expense

	2022 Rs.	2021 Rs.
Included in Statement of Comprehensive Income		
Interest Cost	1,388,635	995,414
Current Service Cost	1,804,065	1,657,852
Gain / Loss (due to change in assumptions)	(2,436,368)	(665,709)
	756,332	1,987,557
Included in Other Comprehensive Income		
Actuarial Loss on Obligations	(876,477)	(84,243)
	(876,477)	(84,243)
Net Benefit Expense	(120,145)	1,903,314

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piyal S. Goonetilleke (Fellow of the Society of Actuaries - USA) in 2022 as requires by LKAS 19, Employee Benefits.

NOTES TO THE FINANCIAL STATEMENTS

Principal actuarial assumptions used :

	2022	2021
a) Discount Rate % per Annum	19.1	10.2
b) Salary Increase % per Annum	9.5	6
c) Incidence of Withdrawals	8	0
d) Expected Average Future Working Life of the Active Participants	5.3 Years	5.4 Years

Demographic Assumption

	2022	2021
e) Retirement age	60 Years	60 Years
f) Mortality rates	GA 1983 Mortality Table	GA 1983 Mortality Table

The liability is not externally funded.

14.2 Sensitivity

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below.

	31 December 2022		31 December 2021	
	Increase	Decrease	Increase	Decrease
Discount rate (1% movement)	(349,131)	378,893	(568,422)	627,742
Future salary growth (1% movement)	408,295	(380,640)	644,621	(593,005)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

14.3 The Institute of Chartered Accountants of Sri Lanka(CA Sri Lanka) has issued guidance on use of discount rate under the uncertain economic conditions] to consider an adjusted treasury bond rates as the discount rate for the purpose of the actuarial valuations as at 31st December 2022, on the basis that the current treasury bond rates do not reflect only the time value of money. Accordingly, an adjusted discount rate was derived by removing a credit spread from the current treasury bond rate, as per the guidance issued by CA Sri Lanka.

15. Subordinated Debt

As at 31 December

	2022 Rs.	2021 Rs.
Unsecured Subordinated Debt	122,612,346	88,004,732
	122,612,346	88,004,732

15.1 Subordinated Debt

	2022			
	Amount USD	Amount Rs.	Profit Rate Per Annum	Maturity Date
Subordinated Debt	175,000	64,051,225	6.0%	30 December 2023
Subordinated Debt	110,000	40,260,770	6.0%	20 March 2024
Subordinated Debt	50,000	18,300,350	6.0%	24 June 2024
Total		122,612,346		

Rs. 20 Mn worth of subordinated debt was settled in 2022

15.2 Subordinated Debt

	2021			
	Amount USD	Amount Rs.	Profit Rate Per Annum	Maturity Date
Subordinated Debt	-	20,000,000	13.5%	30 December 2024
Subordinated Debt	175,000	35,524,860	6.0%	30 December 2023
Subordinated Debt	110,000	22,329,912	6.0%	20 March 2024
Subordinated Debt	50,000	10,149,960	6.0%	24 June 2024
Total		88,004,732		

16. Other Liabilities - Unit Linked

As at 31 December

	2022 Rs.	2021 Rs.
Financial Liabilities (Note 16.1)	56,654,969	28,620,753
Non - Financial Liabilities (Note 16.2)	62,275,368	51,586,994
	118,930,337	80,207,746
16.1 Financial Liabilities		
Retakaful Payable	56,654,969	28,620,753
16.2 Non - Financial Liabilities		
Advances	52,281,182	46,663,991
Other Creditors	9,994,187	4,923,003
	62,275,368	51,586,994

17. Other Liabilities

Year ended 31 December

	2022 Rs.	2021 Rs.
Financial Liabilities (Note 17.1)	83,228,525	59,131,050
Non - Financial Liabilities (Note 17.2)	98,019,971	64,250,203
	181,248,496	123,381,254

NOTES TO THE FINANCIAL STATEMENTS

17.1 Financial Liabilities

	2022 Rs.	2021 Rs.
Commission Payable	22,645,423	15,170,007
Retakaful Payable	49,831,071	43,961,044
Amount Due to a Related Party - Amana Takaful PLC	10,752,031	-
	83,228,525	59,131,051

17.2 Non - Financial Liabilities

	2022 Rs.	2021 Rs.
Accrued Liabilities	19,247,734	14,674,881
Other Creditors	78,772,237	49,575,323
	98,019,971	64,250,204

18. Lease Liability

As at 31 December

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the Ijarah rate implicit in the lease or, if that rate can not be readily determined, the Companies incremental borrowing rate. The movement of Lease creditor for the period is as follows,

	2022		2021
	Property Rs.	Total Rs.	Rs.
Opening lease Creditor as at 01st January	14,209,487	14,209,487	17,820,151
Addition	4,956,305	4,956,305	2,200,934
Expense recognised in Profit or Loss	1,201,018	1,201,018	1,977,162
Settlement through lease payment	(7,327,500)	(7,327,500)	(7,788,760)
Lease Liability	13,039,310	13,039,310	14,209,487

	1 Year or less Rs.	2-5 Years Rs.	Total Rs.
Maturity Analysis			
Gross Liability	6,637,600	9,121,500	15,759,100
Unamortised Profits	(1,208,381)	(1,511,410)	(2,719,791)
Net Liability	5,429,219	7,610,090	13,039,310

19. Stated Capital

As at 31 December

	2022	2021
Fully Paid Ordinary Shares -Voting (Rs.)	500,000,000	500,000,000
No of Ordinary Shares - Voting	50,000,000	50,000,000

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

20. Other Reserves

Reserves consists of the following :

20.1 Available For Sale Reserve

The Available For Sale Reserve comprises the cumulative net change in the fair value of Available For Sale financial assets until the assets are derecognized or impaired.

20.2 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available For Sale financial assets related to Family Takaful Fund.

20.3 Revaluation Reserve

The Revaluation Reserve relates to the revaluation of motor vehicles under property, plant and equipment.

21. Gross Written Contribution (Premium)

As at 31 December

	2022 Rs.	2021 Rs.
Unit Linked	998,130,229	849,780,045
Family Takaful	30,945,389	38,990,512
Mortgage and Group Family Takaful	31,701,961	41,059,921
	1,060,777,579	929,830,479

22. Income From Investments

As at 31 December

	2022 Rs.	2021 Rs.
Investment Income (Note 22.1)	383,418,592	137,723,346
Unrealised Capital Gain- Fair Value Through Profit or Loss Investments	1,602,770	54,020,038
Net Realised Capital (Losses) or Gain - Fair Value Through Profit or Loss Investments	21,819,755	10,768,392
	406,841,117	202,511,776

22.1 Investment Income

	2022 Rs.	2021 Rs.
Dividend Income	5,096,982	7,079,453
Income from Mudharaba/ Fixed Term Investments	342,652,563	119,910,001
Income from investment in Government Securities	35,669,046	10,733,892
	383,418,592	137,723,346

NOTES TO THE FINANCIAL STATEMENTS

23. Other Income

As at 31 December

	2022 Rs.	2021 Rs.
Profit on Disposal of Property, Plant & Equipment	-	126,493
Fund Management Fee Income	25,781,187	29,253,162
Sundry Income	-	3,726,553
Fees & Charges	8,515,272	22,275,026
Rental Income	4,200,000	4,375,000
Exchange Gain	1,890,840	446,387
Net Change in Fair value of Investment Property	3,050,000	-
	43,437,299	60,202,621

24. Takaful (Insurance) Claims And Benefits (Net)

As at 31 December

	2022 Rs.	2021 Rs.
Net Claims Incurred	60,637,441	79,818,884
Surrenders	360,385,986	248,441,347
Policy Maturities	68,914,311	50,928,341
Interim Payments/Part withdrawals	28,831,043	47,847,829
Long Term Insurance Claims & Benefits	518,768,780	427,036,400

25. Other Operating And Administration Expenses

As at 31 December

	2022 Rs.	2021 Rs.
Staff Expenses (Note 25.1)	236,432,912	209,327,145
Administration & Establishment Expenses	157,978,480	134,378,328
Selling Expenses	23,270,116	19,763,305
Depreciation (Note 05)	9,067,978	7,376,845
Depreciation ROU (Note 06)	6,253,193	5,982,083
Consultancy Fees	1,728,147	1,364,169
	434,730,828	378,191,875

25.1 Staff Expenses

	2022 Rs.	2021 Rs.
Wages, Salaries, Travel & Bonuses	214,611,380	189,095,100
Contribution to defined contribution plans - EPF & ETF	9,079,684	9,549,624
Staff welfare	4,316,313	2,231,328
Staff training	3,377,571	2,141,760
Medical claims	4,291,633	4,321,777
Employee Benefit/Gratuity (Note 14.1)	756,332	1,987,557
	236,432,912	209,327,145

26. Finance Cost

As at 31 December

	2022 Rs.	2021 Rs.
Extended Wakala Profit	9,137,001	6,829,284
Profit Mark up on Lease (Ijara) Facility	115,800	2,457,440
	9,252,801	9,286,724

27. Profit/Loss From Operations For The Year Is Stated After Charging The Following :

	2022 Rs.	2021 Rs.
Directors' Emoluments - Executive	-	365,000
- Non - Executive	3,549,525	1,785,548
Auditors' Remuneration - Audit	2,022,720	1,857,600
- Audit Related Other	455,735	533,640
- Non - Audit	520,136	186,840
Depreciation	15,490,142	14,297,982
Amortisation of Intangibles	1,446,263	1,306,369

28. Income Tax Expense

Amana Takaful Life PLC is liable for income tax at 30% on the taxable income for the year of assessment 2022/2023 (2021/2022 - 24%).

28.1 Tax Reconciliation Statement

	2022 Rs.	2021 Rs.
Investment Income of the Share Holder Fund	40,099,096	18,526,116
Surplus Distributed to Shareholders from Life Insurance Policy Holders	Nil	Nil
Surplus Distributed to Policy Holders	Nil	Nil
Expenses relating to Investment Income of the Share Holder Fund	(9,916,260)	(5,327,866)
Loss Brought forward - 100% of below	(30,182,836)	(13,198,250)
Assessable/Taxable Income	-	-

Unrecognised Deferred Tax Asset

Deferred Tax Asset / (Liability) is attributable to the following:

	2022		2021	
	Temporary Difference Rs.	Tax Effect Rs.	Temporary Difference Rs.	Tax Effect Rs.
On Retirement Benefit Obligations	10,820,935	3,246,281	13,614,072	3,267,377
On Life Policyholders' Reserve Deficit	(19,490,650)	(5,847,195)	(14,399,071)	(3,455,777)
Accumulated Tax losses	808,984,442	242,695,333	839,167,278	201,400,147
	800,314,727	240,094,418	838,382,280	201,211,747

NOTES TO THE FINANCIAL STATEMENTS

Deferred tax asset of Rs. 240,094,418 (2021: Rs. 201,211,747) as at 31 December 2022 arising out of the above temporary differences has not been recognised since it is not probable that future taxable profits will be available against which the Company can utilise the benefits therefrom.

28.2 Income Tax Assessment Relating To Years Of Assessment 2015/2016, 2016/2017 & 2017/2018

The Department of Inland Revenue has raised an assessment for the following years of assessment

- Year of Assessment 2015/2016: assessing the Life Insurance business to pay an income tax liability of 26,552,513 and the company has lodged a valid appeal against the said assessment.

- Year of Assessment 2016/2017: assessing the Life Insurance business to pay an income tax liability of 42,250,180 and the company has lodged a valid appeal against the said assessment.

- Year of Assessment 2017/2018: assessing the Life Insurance business to pay an income tax liability of 51,028,443 and the company has lodged a valid appeal against the said assessment.

29. Earnings Per Share

29.1 Basic Earnings Per Share is calculated by dividing the profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

29.2 The following reflect the income and share data used in the Basic Earnings Per Share computations.

	2022 Rs.	2021 Rs.
Amount used as the Numerator:		
Profit for the year	54,090,731	9,558,914
Number of Ordinary Shares used as Denominator:		
Weighted Average Number of Ordinary Shares in Issue	50,000,000	50,000,000
Earnings Per Share	1.08	0.19

29.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, Diluted Earning Per Share is same as Basic Earnings Per Share shown above.

30. Related Party Disclosures

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosures". Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. These transactions are reviewed by related party transaction committee on frequent basis. Details of related party transactions are reported below :

The Company carried out following transactions with related parties in the ordinary course of its business on an arm's length basis at commercial rates during the year.

(A) Transactions And Outstanding Balances With The Related Companies

Relationship	Nature of Transactions and Outstanding Balances	2022 Rs.	2021 Rs.
Parent	Shared Cost	69,692,229	71,969,314
	Takaful Premium Paid	4,291,633	4,321,777
	Takaful Premium Received	634,679	647,733
	Shared Cost Settlements	58,940,199	71,969,314
	Current Account Balance (Net)	10,752,031	-

Shared Cost refers to the value of expenses paid by the Parent Company on behalf of Amana Takaful Life PLC on the shared cost as reimbursements. The subsequent settlement by Amana Takaful Life PLC is recorded as Shared Cost Settlements.

(B) Compensation Of Key Management Personnel

According to Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosure", Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Company.

The Company carries out transactions with KMPs & their close family members in the ordinary course of its business on an arms length basis at commercial rates.

The Company has made following payments to key management personnel during the year.

	2022 Rs.	2021 Rs.
Salary and other short term benefits	14,601,153	10,632,176
Contributions made by the company to EPF and ETF	341,531	1,024,594
Non cash benefits	1,140,000	1,140,000
	16,082,685	12,796,771

31. Commitments And Contingencies

31.1 Commitments

The Company does not have significant capital commitments as at the reporting date.

31.2 Contingencies

The Company does not have significant contingencies as at the reporting date.

32. Events Occurring After The Reporting Period

Accounting Policy

Events after the reporting period are those events, favourable and unfavourable that occur between the reporting date and the date when the financial statements are authorised for issue.

All material post reporting date events have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

There have been no material events occurring after the reporting date that require adjustments to or disclosure in the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

33. Capital

Nature of Assets	Nature of Liability	Included Under	Carrying Amount Pledge	
			2022	2021
Fixed Term Investments/ Mudharaba	Bank Guarantee for Tax Appeal Commission	Financial Investments	1,600,563	1,600,563
Fixed Term Investments/ Mudharaba (NDB)	Bank Guarantee for Tax Appeal Commission	Financial Investments	1,909,629	-

34. Risk Management Control

34.1 Overview

All entities face uncertainty and the challenge for the Company is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

34.2 Risk Management Framework

Amana Takaful Life PLC risk management framework forms an integral part of the management and Board processes and decision-making framework across the Company. The Company has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the Risk management Strategies. The Company's Risk Management Framework categorized into four lines of defense as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defense.
2. Policies and Procedures – the Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision making and approval controls at senior management level.
4. Governance – the governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the company.

This section discusses the salient features of the risks exposed by the Company in terms of financial instruments and other areas as an insurance Company. The Financial instruments of the Company are exposed to the following Risks.

1. Financial Risk
2. Credit Risk
3. Market Risk
4. Insurance Risk
5. Liquidity Risk

34.3 Financial Risk

34.3.1 Capital Management

a. Objectives And Policies

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimize capital utilization within the regulatory guidelines.
- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business

The Company currently has stated capital worth Rs 500Mn which is the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Company are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.,) of which adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimize the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities.

b. Approach To Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Regulatory Commission of Sri Lanka (IRCSL). This primarily helps the Company to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyze the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

34.4 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise

1. Premium Receivable
2. Re-Insurance Receivable
3. Financial Investments
4. Bank Balances
5. Other Financial Assets

The following policies and procedures are in place to mitigate the Company's exposure to credit risk:

- The Company has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All Re-insurers are selected based on the ratings as required by IRCSL.
- The investment committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The executive committee regularly reviews the credit position of the company i.e. out-standings and over-dues. In addition the company also ensures that there are sufficient provisions created in the case of doubtful debts.

NOTES TO THE FINANCIAL STATEMENTS

34.4.1 Credit Exposure

The Company's maximum exposure to credit risk for the components of the statement of financial position at 31 December 2022 is the carrying amounts of respective financial instruments.

	2022 Rs.	2021 Rs.
Financial Assets		
Fair Value through Profit or Loss		
Investment in Equity Securities	-	-
Investment in Equity Securities-Unit Linked	62,665,261	116,476,160
Investments in Gold	159,750,000	135,168,750
Investments in Gold - Unit Linked	51,750,000	7,593,750
Available for Sale Financial Assets		
Unit Trust	63,013,518	60,972,793
Unit Trust-Unit Linked	34,161,002	31,110,149
Loans & Receivables		
Mudhrabha Investments	591,576,344	497,031,416
Repurchase Agreements	235,293,182	187,130,863
Mudhrabha Investments-Unit Linked	2,216,058,654	1,934,121,514
Repurchase Agreements-Unit Linked	60,612,070	32,343,266
Other Financial Assets		
Contribution (Premium) Receivables	37,975,619	35,952,417
Other Assets	21,797,404	17,592,074
Cash and Cash Equivalents	46,507,026	60,920,009
Cash and Cash Equivalents-Unit Linked	15,841,002	9,583,462
Total Financial Assets	3,597,001,081	3,125,996,621

	Neither Past due not Impaired Rs.	Past due but not Impaired Rs.	Individually Impaired Rs.	As at 31 December 2022 Rs.
Financial Assets				
Fair Value through Profit or Loss				
Investment in Equity Securities-Unit Linked	62,665,261	-	-	62,665,261
Investments in Gold	159,750,000	-	-	159,750,000
Investments in Gold - Unit Linked	51,750,000	-	-	51,750,000
Available-for-Sale Financial Investments				
Unit Trust	63,013,518	-	-	63,013,518
Unit Trust-Unit Linked	34,161,002	-	-	34,161,002
Loans & Receivables				
Mudhrabha Investeents	591,576,344	-	-	591,576,344

	Neither Past due not Impaired	Past due but not Impaired	Individually Impaired	As at 31 December 2022
	Rs.	Rs.	Rs.	Rs.
Repurchase Agreements	235,293,182	-	-	235,293,182
Mudhrabha Investeents-Unit Linked	2,216,058,654	-	-	2,216,058,654
Repurchase Agreements-Unit Linked	60,612,070	-	-	60,612,070
Other Assets Exposed to Credit Risk				
Retakaful (Reinsurance) Receivables	-	-	-	-
Contribution (Premium) Receivable	37,975,619	-	-	37,975,619
Other Assets	21,797,404	-	-	21,797,404
Cash and Cash Equivalents	46,507,026	-	-	46,507,026
Cash and Cash Equivalents-Unit Linked	15,841,002	-	-	15,841,002
Total Credit Exposure	3,597,001,081	-	-	3,597,001,081

	Neither Past due not Impaired	Past due but not Impaired	Individually Impaired	As at 31 December 2021
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Fair Value through Profit or Loss				
Investment in Equity Securities-Unit Linked	116,476,160	-	-	116,476,160
Investments in Gold	135,168,750	-	-	135,168,750
Investments in Gold - Unit Linked	7,593,750	-	-	7,593,750
Available-for-Sale Financial Investments				
Unit Trust	60,972,793	-	-	60,972,793
Unit Trust-Unit Linked	31,110,149	-	-	31,110,149
Loans & Receivables				
Mudhrabha Investments	497,031,416	-	-	497,031,416
Repurchase Agreements	187,130,863	-	-	187,130,863
Mudhrabha Investeents-Unit Linked	1,934,121,514	-	-	1,934,121,514
Repurchase Agreements-Unit Linked	32,343,266	-	-	32,343,266
Other Assets Exposed to Credit Risk				
Retakaful (Reinsurance) Receivables	-	-	-	-
Contribution (Premium) Receivable	35,952,417	-	-	35,952,417
Other Assets	17,592,074	-	-	17,592,074
Cash and Cash Equivalents	60,920,009	-	-	60,920,009
Cash and Cash Equivalents-Unit Linked	9,583,462	-	-	9,583,462
Total Credit Exposure	3,125,996,621	-	-	3,125,996,621

34.5 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Company. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e. inflation, determines the cost of administration.

NOTES TO THE FINANCIAL STATEMENTS

34.5.1 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the company has a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the company invests only in sound fundamental value giving investments to the company greater security in its invested equity securities.

Unitized Fund	Equity Exposure			
	2022		2021	
	Exposure (Rs.)	Sector Weight	Exposure (Rs.)	Sector Weight
Capital Goods	17,365,800	28%	32,469,275	28%
Consumer Durables & Apparel	14,938,100	24%	17,111,200	15%
Food, Beverages & Tobacco	7,185,351	11%	28,310,833	24%
Materials	8,515,518	14%	7,231,435	6%
Telecommunication Services	8,160,000	13%	10,464,000	9%
Transportation	6,500,493	10%	20,889,417	18%
	62,665,261	100%	116,476,160	100%

Sensitivity Analysis of Equity Risk

	Type of Classification	2022		2021	
		Rs.	Rs.	Rs.	Rs.
		10% Decline	10% Increase	10% Decline	10% Increase
Non-Unitized Fund	FVTPL	-	-	-	-
	AFS				
Unitized Fund	FVTPL	(6,266,526)	6,266,526	(11,647,616)	11,647,616
Net impact on profit before tax	FVTPL	-	-	-	-

34.5.2 Currency Risk

Currency risk is the risk of loss resulting from changes in exchange rates. The company's principle operation is based in Sri Lanka; therefore it is not materially exposed to the financial impact at an operational level arising from changes in the exchange rates of various currencies.

The company has raised a cumulative subordinated debt in USD for a value of USD 335,000. This funds are reinvested in USD based financial instruments thereby mitigating currency risk exposure.

34.5.3 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

The Company invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

34.6 Insurance Risk

Being an insurance Company, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category.

- Underwriting Risks
- Claims Risks
- Re-Insurance Risk

In addition to the above Life insurance is specifically subject to the following risks

1. Mortality risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk – risk of loss arising due to policyholder health experience being different than expected
3. Investment return risk – risk of loss arising from actual returns being different than expected
4. Expense risk – risk of loss arising from expense experience being different than expected
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the company has adopted various strategies. The company strategy is driven by the comprehensive screening of policy holders in order to ascertain current medical status, family medical history the key been the comprehensive screening of participants. Further the company ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The company also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behavior.

34.6.1 Under-Writing Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. Price - The Company has strict pricing mechanisms which need to be adhered in respect of various classes of products. Pricing is based on the Actuarial Valuation of the product plan done by Actuarial Partners.
- ii. Exposure – The Company fully ensures that the company does not underwrite risk which does not suit its risk profile and further ensures all high volume risks are re-insured.
- iii. Personnel – The Company ensures that all Underwriting personnel in Life are adequately trained. Further all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments.

Further it should be noted that the company monthly monitors product profitability of all main classes of insurance.

34.6.2 Claims Risk

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect company performance.

NOTES TO THE FINANCIAL STATEMENTS

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

Impact on Takaful Contract Liabilities

	Change in Assumptions	Gross	Net	Underwriting Deficit/ Surplus
31st December 2022	%	LKR'000	LKR'000	LKR'000
Mortality/morbidity	+10%	14,305	5,379	5,379
Mortality/morbidity	-10%	(14,337)	(5,391)	(5,391)
Lapse and surrender rates	-10%	3,058	2,922	2,922
Discount rate	-1%	3,428	2,637	2,637
Expenses	+10%	7,352	7,352	7,352
Unit Fund Investment Return	-1%	(1,668)	(1,621)	(1,621)

Impact on Operators Fund

	Change in Assumptions	Gross	Net	(Loss)/Profit Before Taxation
31st December 2022	%	LKR'000	LKR'000	LKR'000
Mortality/morbidity	+10%	(14)	(14)	(14)
Mortality/morbidity	-10%	14	14	14
Lapse and surrender rates	-10%	202	202	202
Discount rate	-1%	517	517	517
Expenses	+10%	1,948	1,948	1,948
Unit Fund Investment Return	-1%	-	-	-

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasized in Key Performance indicators of all staff levels.

34.6.3 Re-Insurance Risk

Insurance companies in events where sum insured is extremely high in comparison to premium earned decide on reinsuring the policy with another insurer in order to mitigate/share its loss in the case of disaster. The risk borne would add up to the premium foregone in the event that disaster does not occur to the said policy.

Management Strategy

The Board Risk Committee annually reviews the list of reinsurers to ensure that the company's exposure is hedged to maximum effect whilst periodically monitoring the financial status and condition of the same. The company employs pre-agreed treaty insurance agreements to hedge against day to day insurance exposure whilst engages in facultative insurance to hedge against extra-ordinary insurance risks in the line of day to day business.

34.6 Insurance Risk

34.6.3 Re-Insurance Risk

Class of business	Name of the reinsurer	Reinsurers Country of origin	Name of the regulatory authority which approval obtained to transact reinsurance business	License validity period of the reinsurer	Rating		Date of Rating
					Financial Strength	Credit	
Life 1. Long Term Takaful Plans (Endowments)	1. Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	6/1/2022
	2. Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	8/22/2022
Other 1. All family Takaful Policies (CAT Cover) 2. Unit Link Takaful 3. Group Family 4. Credit & Mortgage Takaful	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	8/22/2022
	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	8/22/2022
	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	6/1/2022
	1. Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	6/1/2022
	2. Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	11/7/2022

NOTES TO THE FINANCIAL STATEMENTS

34.7 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The company has a standard set of guidelines set up by an Investment policy under the purview of the Investment committee which is followed in accordance with the IRCSL guidelines.

The following policies and procedures are in place to mitigate the company's exposure to liquidity risk:

- The company maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The investment committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Company investments based on remaining maturity is given below.

Maturity Analysis 2022	Within 1 Month	1-3 Months	3 Months to 1 Year	1 - 5 Years	No stated maturity	Total
Financial Assets						
Investments in Equity Securities	-	-	62,665,261	-	-	62,665,261
Investments in Gold	-	-	-	-	211,500,000	211,500,000
Repurchase Agreements	-	52,535,861	243,634,870	-	-	296,170,731
Unit Trust	-	-	-	-	97,174,520	97,174,520
Mudharaba Investments	-	138,778,247	1,138,009,410	1,530,847,340	-	2,807,634,998
Contribution (Premium) Receivable	-	-	37,975,619	-	-	37,975,619
Other Assets	-	-	41,257,953	-	-	41,257,953
Cash and Bank Balances	46,507,026	-	-	-	-	46,507,026
Cash and Bank Balances - Unit Linked	15,841,002	-	-	-	-	15,841,002
	62,348,027	191,314,108	1,523,543,113	1,530,847,340	308,674,520	3,616,727,109
Financial Liabilities						
Finance Lease Liability	537,156	1,618,989	3,273,075	7,610,090	-	13,039,309
Subordinated Debt	-	-	-	122,612,346	-	122,612,346
Other Liabilities	-	-	83,228,525	-	-	83,228,525
Other Liabilities - Unit Linked	-	-	56,654,969	-	-	56,654,969
	537,156	1,618,989	143,156,596	130,222,436	-	275,535,177

Maturity Analysis 2021	Within 1 Month	1-3 Months	3 Months to 1 Year	1 - 5 Years	No stated maturity	Total
Financial Assets						
Investments in Equity Securities	-	-	116,476,160	-	-	116,476,160
Investments in Gold	-	-	-	-	142,762,500	142,762,500
Repurchase Agreements	-	219,474,129	-	-	-	219,474,129
Unit Trust	-	-	-	-	92,082,942	92,082,942
Mudharaba Investments	-	-	-	2,431,152,930	-	2,431,152,930
Contribution (Premium) Receivable	-	-	35,952,417	-	-	35,952,417
Other Assets	-	-	37,907,895	-	-	37,907,895
Cash and Bank Balances	60,920,009	-	-	-	-	60,920,009
Cash and Bank Balances - Unit Linked	9,583,462	-	-	-	-	9,583,462
	70,503,471	219,474,129	190,336,472	2,431,152,930	234,845,442	3,146,312,443
Financial Liabilities						
Finance Lease Liability	579,066	1,769,855	3,727,346	8,133,220	-	14,209,487
Subordinated Debt	-	-	-	88,004,733	-	88,004,732
Other Liabilities	-	-	59,131,050	-	-	59,131,050
Other Liabilities - Unit Linked	-	-	28,620,753	-	-	28,620,753
	579,066	1,769,855	91,479,149	96,137,952	-	189,966,024

NOTES TO THE FINANCIAL STATEMENTS

Industry Analysis 2022

Industry Analysis	Financial Services	Asset Management	Government	Materials	Tele - communication	Consumer Durables & Apparels	Others	Total
Assets								
Fair value through profit or loss								
Investments in equity securities- Unit Linked	-	-	-	8,515,518	8,160,000	14,938,100	31,051,644	62,665,261
Investments in Gold	-	-	-	-	-	-	211,500,000	211,500,000
Available-for-sale financial investments								
Unit Trust	-	97,174,520	-	-	-	-	-	97,174,520
Loan and Receivables								
Repurchase Agreements	-	-	235,558,661	-	-	-	-	235,558,661
Repurchase Agreements- Unit Linked	-	-	60,612,070	-	-	-	-	60,612,070
Mudharaba investments	591,576,344	-	-	-	-	-	-	591,576,344
Mudharaba investments- Unit Linked	2,216,058,654	-	-	-	-	-	-	2,216,058,654
Investment in Commercial Papers	-	-	-	-	-	-	-	-
	2,807,634,998	97,174,520	296,170,731	8,515,518	8,160,000	14,938,100	242,551,644	3,475,145,510

Industry Analysis 2021

Industry Analysis	Financial Services	Asset Management	Government	Materials	Tele - communication	Consumer Durables & Apparels	Others	Total
Assets								
Investments in equity securities- Unit Linked	-	-	-	7,231,435	10,464,000	17,111,200	81,669,525	116,476,160
Investments in Gold	-	-	-	-	-	-	142,762,500	142,762,500
Available-for-sale financial investments								
Unit Trust	-	92,082,942	-	-	-	-	-	92,082,942
Loan and Receivables								
Repurchase Agreements	-	-	187,130,863	-	-	-	-	187,130,863
Repurchase Agreements - Unit Linked	-	-	32,343,266	-	-	-	-	32,343,266
Mudharaba investments	497,031,416	-	-	-	-	-	-	497,031,416
Mudharaba investments - Unit Linked	1,934,121,514	-	-	-	-	-	-	1,934,121,514
	2,431,152,930	92,082,942	219,474,129	7,231,435	10,464,000	17,111,200	224,432,025	3,001,948,660





SUPPLEMENTARY INFORMATION

GROUP VALUE ADDED STATEMENT

	2022 Rs. Mn	2021 Rs. Mn
Net earned contribution (premium)	1,003	882
Investment & Other Income	450	263
Net Claims & Benefits	(519)	(427)
Cost of external services	(194)	(169)
Total Value Added	740	549
To employees as Salaries and other benefits	236	207
To intermediaries as acquisition cost	149	135
To the Government as taxes -		
Increase/(Decrease) in Family Takaful (Long Term Insurance) Fund	286	184
Retained with the business		
- depreciation	15	13
- in reserves	54	10
Total Value Added	740	549

SHARE INFORMATION

1. Analysis Of The Distribution Of Shareholders As At 31st December 2022

Shareholding			Resident			Non-Resident			Total	
			No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares
1	-	1,000	929	186,290	0.37%	2	127	0.00%	931	186,417
1,001	-	10,000	110	413,519	0.83%	1	2,500	0.01%	111	416,019
10,001	-	100,000	18	412,047	0.82%	2	56,302	0.11%	20	468,349
100,001	-	1,000,000	1	335,686	0.67%	0	0	0.00%	1	335,686
Over 1,000,000			3	48,593,529	97.19%	0	0	0.00%	3	48,593,529
			1,061	49,941,071	1	5	58,929	0.00	1,066	50,000,000

2.1 Top 25 Shareholders As At 31st December 2022

	No. of Shares	%
Amana Takaful PLC	41,150,000	82.30
Seylan Bank PLC/Senthilverl Holdings (PVT) LTD	3,879,974	7.76
Aberdeen Holdings (Private) Limited	3,563,555	7.13
Sampath Bank PLC/ DR.T.Senthilverl	335,686	0.67
Mr. Abdul Azees Mohamed Anas	49,100	0.10
Mr. Mohamed Salman Faris Uvais	39,978	0.08
Mr. Ahamad Mohamed Subair	34,400	0.07
Mr. Mohamed Sahabdeen Mohamed Ikram	31,900	0.06
Mr. Ravindra Erle Rambukwelle	28,490	0.06
Mrs. Pattinideva Asoka Swarna Kanthie Beruwalage	25,059	0.05
Mr. Mohamed Ziyad Mohamed Nihaz	25,000	0.05
Mr. Mohamed Nizamdeen Mohamed Nazir	24,600	0.05
Mr. Muhammadu Muyeess Mohammad Abdul Cader	24,600	0.05
Miss Lakshi Sandamali Jayawila	19,700	0.04
Mrs. Manchanayaka Appuhamillage Nandanie Somalatha Manchanayaka	19,700	0.04
Mr. Mohamed Rizam Mohamed Ismail	19,700	0.04
Mrs. Waniganetti Vidanaralalage Dona Somawathi	19,700	0.04
Mr. Hetti Arachchige Shanaka Samewa Rodrigo	19,079	0.04
Mr. Abdul Razzak Mohamed Riyaz	16,500	0.03
Dr. Gayan Surendrajith Perera	16,324	0.03
Mr. Dilkith Hansira Lanka Jayawila	16,094	0.03
Mr. Iqram Sankylam Cuttilan	14,800	0.03
Hameedia Stores (PVT) LTD	12,045	0.02
Mrs. EPA Ranasinghe Imiya Appuhamillage Anoja	11,580	0.02
Dialog Finance PLC/D.G. Karunarathna	10,000	0.02
	49,407,564	98.81
Others	592,436	1.19
Total	50,000,000	100.00

SHARE INFORMATION

2.1 Top 25 Shareholders As At 31st December 2021

Name of Shareholder	No. of Shares	%
Amana Takaful Plc	41,150,000	82.30
Aberdeen Holdings (Private) Limited	3,850,000	7.70
Seylan Bank Plc/Senthilverl Holdings (Pvt) Ltd	3,264,245	6.53
Sampath Bank Plc/ Dr.T.Senthilverl	335,686	0.67
Mr. Kaluperuma Gavin Chaminda De Silva / Mr. S. Senanayake	51,027	0.10
Mr. Abdul Azees Mohamed Anas	49,100	0.10
Mr. Ravindra Erle Rambukwelle	40,000	0.08
Mr. Ahamad Mohamed Subair	34,400	0.07
Mr. Mohamed Sahabdeen Mohamed Ikram	31,900	0.06
Mr. Mohamed Ziyad Mohamed Nihaz	27,000	0.05
Mr. Mohamed Salman Faris Uvais	26,321	0.05
Mrs. Pattinideva Asoka Swarna Kanthie Beruwalage	25,059	0.05
Mrs. Epa Ranasinghe Imiya Appuhamilage Anoja Ranasinghe	24,600	0.05
Miss Manchanayaka Appuhamilage Yasassri Rangana Manchanayaka	24,600	0.05
Miss Manchanayake Appuhamilage Buddima Chathuri Manchanayake	24,600	0.05
Mr. Mohamed Nizamdeen Mohamed Nazir	24,600	0.05
Mr. Muhammadu Muyeess Mohammadu Abdul Cader	24,600	0.05
Mr. Abthus Salam Mohamed Ali	19,901	0.04
Mr. Dilkith Hansira Lanka Jayawila	19,700	0.04
Mr. Hetti Arachchige Shanaka Samewa Rodrigo	19,700	0.04
Miss Lakshi Sandamali Jayawila	19,700	0.04
Mrs. Manchanayaka Appuhamillage Nandanie Somalatha Manchanayaka	19,700	0.04
Mr. Mohamed Rizam Mohamed Ismail	19,700	0.04
Mrs. Waniganetti Vidanaralalage Dona Somawathi	19,700	0.04
Mr. Abdul Razzak Mohamed Riyaz	16,500	0.03
	49,129,339	98.29
Others	870,661	1.71
Total	50,000,000	100.00

Public Shareholding

	31.12.2022	31.12.2021
Float Adjusted Market Capitalisation (Rs.)*	167,051,662	125,670,000
Percentage of Shares held by the Public	10.57%	17.70%
Number of Public Shareholders	1066	1131

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules.

- Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

3. Investor Ratios

	Company	
	2022 Rs.	2021 Rs.
Earnings/(Loss) per Share	1.08	0.19
Dividend per Share	-	-
Dividend Payout Ratio	-	-
Net Assets per Share	10.88	9.68

4. Market Value Of Shares

	2022 Rs.	2021 Rs.
Highest Value	48.20	25.70
Lowest Value	16.10	7.40
Year End Value	31.60	19.00

TEN YEAR SUMMARY

Amana Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Income for the year ended	31.12.2022 Rs.'000	31.12.2021 Rs.'000	31.12.2020 Rs.'000
Gross Written Contribution (Premium)	1,060,778	929,830	767,232
Net Earned Contribution (Premium)	1,003,241	881,719	742,753
Income from Investments and Other Income	450,278	262,714	289,996
Net Claims Incurred	(518,769)	(427,036)	(447,220)
Net Commission Incurred	(149,282)	(135,022)	(103,132)
Expenses	(445,429)	(388,784)	(376,923)
Change in Family Takaful (Long Term Insurance) Fund	(285,948)	(184,031)	(140,186)
Profit/(Loss) Before Taxation	54,091	9,559	(34,712)
Income Tax Expenses			
Net Profit/(Loss) for the year	54,091	9,559	(34,712)
Basic Earnings/(Loss) Per Share (Rs.)	1.08	0.19	(0.69)

Amana Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Financial Position as at	31.12.2022 Rs.'000	31.12.2021 Rs.'000	31.12.2020 Rs.'000
Assets			
Financial Investments	1,049,633	880,304	859,267
Investment Property	150,550	147,500	147,500
Financial Investments - Unit Linked	2,425,247	2,121,645	1,907,620
Intangible Assets	20,456	17,420	18,363
Property, Plant and Equipment	21,318	25,769	15,347
Right Of Use Asset	11,954	13,251	20,839
Cash & Other Assets	125,740	134,780	128,042
Cash - Unit Linked	15,841	9,583	2,244
Total Assets	3,820,740	3,350,252	3,099,222
Liabilities			
Family Takaful Fund Balance (Insurance Provision - Long Term)	356,693	397,381	445,782
Family Takaful Fund (Insurance Provision -Long Term)-Unit Linked	2,473,579	2,149,698	1,913,107
Subordinated Debt	122,612	88,005	83,375
Other Liabilities	205,108	151,204	123,420
Other Liabilities -Unit Linked	118,930	80,207	74,379
Total Liabilities	3,276,924	2,866,495	2,640,063
Shareholders' Equity			
Equity Attributable to Equity Holders of the Parent			
Stated Capital	500,000	500,000	500,000
Other Reserves	31,489	26,398	11,545
Revenue Reserves	12,326	(42,641)	(52,386)
Total Equity	543,815	483,757	459,160
Total Equity and Liabilities	3,820,740	3,350,252	3,099,222

31.12.2019 Rs.'000	31.12.2018 Rs.'000	31.12.2017 Rs.'000	31.12.2016 Rs.'000	31.12.2015 Rs.'000	31.12.2014 Rs.'000	31.12.2013 Rs.'000
851,293	827,948	792,174	820,726	928,294	679,029	542,986
820,513	806,062	765,036	806,057	908,064	665,250	537,963
320,226	217,327	269,068	222,789	130,203	136,988	65,566
(591,895)	(543,446)	(423,475)	(320,181)	(207,572)	(161,238)	(179,545)
(117,898)	(105,825)	(97,198)	(108,237)	(97,322)	(73,711)	(47,741)
(432,781)	(474,056)	(422,303)	(263,688)	(232,484)	(220,458)	(162,046)
(27,284)	36,961	(40,536)	(301,048)	(482,827)	(346,831)	(214,196)
(29,118)	(62,976)	50,592	35,691	18,064	-	-
		(760)	-	-	-	-
(29,118)	(62,976)	49,832	35,691	18,064	-	-
(0.58)	(1.26)	0.10	0.07	0.04	-	-

31.12.2019 Rs.'000	31.12.2018 Rs.'000	31.12.2017 Rs.'000	31.12.2016 Rs.'000	31.12.2015 Rs.'000	31.12.2014 Rs.'000	31.12.2013 Rs.'000
816,350	875,165	1,040,576	1,018,398	1,089,313	590,099	506,956
147,500	144,929	-	-	-	43,683	71,908
1,716,210	1,621,208	1,526,679	1,473,332	1,092,154	637,572	353,566
19,659	20,955	22,250	23,549	18,408	-	-
20,110	28,704	21,165	17,467	14,932	-	-
16,064						
150,398	178,459	191,588	102,661	142,504	64,612	37,992
38,197	8,155	7,370	72,193	46,639	95,837	36,434
2,924,488	2,877,575	2,809,628	2,707,599	2,403,950	1,431,803	1,006,856

471,280	534,967	580,710	559,914	574,711	551,211	550,220
1,747,560	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958
81,417	32,051					
85,391	83,420	78,149	69,708	82,414	129,678	66,636
50,987	51,286	51,845	50,316	39,437	20,116	9,042
2,436,635	2,361,849	2,235,840	2,184,082	1,888,357	1,431,804	1,006,855

500,000	500,000	500,000	500,000	500,000	-	-
6,710	3,431	(1,545)	(2,669)	2,169	-	-
(18,857)	12,295	75,333	26,186	13,424	-	-
487,853	515,726	573,788	523,517	515,594	-	-
2,924,488	2,877,575	2,809,628	2,707,599	2,403,951	1,431,804	1,006,855

GEOGRAPHIC LOCATIONS

1. Head Office

660-1/1, Galle Road, Colombo-03
011 7501000

2. Pettah

51 and 53, Bankshall Street,
Colombo-11.
011 7501212 / 1307

3. Kalutara

558A/2, Galle Road,
Kalutara South
034 7501135 / 1132

4. Galle

41, Sri Devamiththa Mawatha,
Galle
091 7501127 / 1128

5. Matara

36/1, 1st floor, St. Thomas
Mawatha, Matara
041 7501130 / 1133

6. Negombo

No: 139/A, St. Joseph Street,
Negombo
031 7501121

7. Rathnapura

310/1, 1st Floor, Main Road,
Kudukalwatta, Rathnapura
045 7501100 / 1105

8. Kurunegala

7, South Circular Road, Kurunegala
037 7501120 / 1125

9. Matale

95/1/1, Dharmapala
Mawatha, Matale
066 7501103 / 1101

10. Kaduruwela

379 A, Main Street, Kaduruwela
027 7501120

11. Mawanella

207, New Kandy Road, Mawanella
035 7501107 / 1108

12. Kalmunai

32, Main Street, Kalmunai
067 7501120 / 1116

13. Trincomalee

319/2, Court Road, Trincomalee.
026 7501100

14. Batticaloa

32, Bar Road, Batticaloa
065 7501103

15. Gampola

134 A, 1st floor,
Kandy Road, Gampola
081 7500 114

16. Puttalam

126, Mannar Road, Puttalam
032 7501123 / 1129

17. Anuradhapura

521/22, Maithripala Senanayake
Mawatha, Anuradhapura
025 7501102 / 1103

18. Akkaraipattu

Main Street, Akkaraipattu 02
067 7501104 / 1100

19. Kinniya

124, Main Street,
Kinniya-05
026 7501115

20. Kattankudy

287/C, Main Street, Kattankudy-01
065 7501120 / 1118

21. Muthur

253/4, Main Street, Muthur-01
026 7501152 / 1150

22. Vavuniya

41, 02nd Cross Street, Vavuniya
South, Vavuniya
024 7501103

23. Welimada

17, Haputale Road, Welimada
057 7267305

24. Kandy

7/1 Wattaram Thanna Road,
Kandy
081 7501135

25. Wellampitiya

01, Megoda Kollonnawa,
Wellampitiya
011 7501222

26. Dehiwela

3/3/1, Station Road, Dehiwela
011 7501308

27. Kanthale

253, Main Street, Kanthale
-

28. Oddamavadi

Batticaloa/ Trincomalee Road,
Karuvakenny, Oddamavadi

29. Sammanthurai

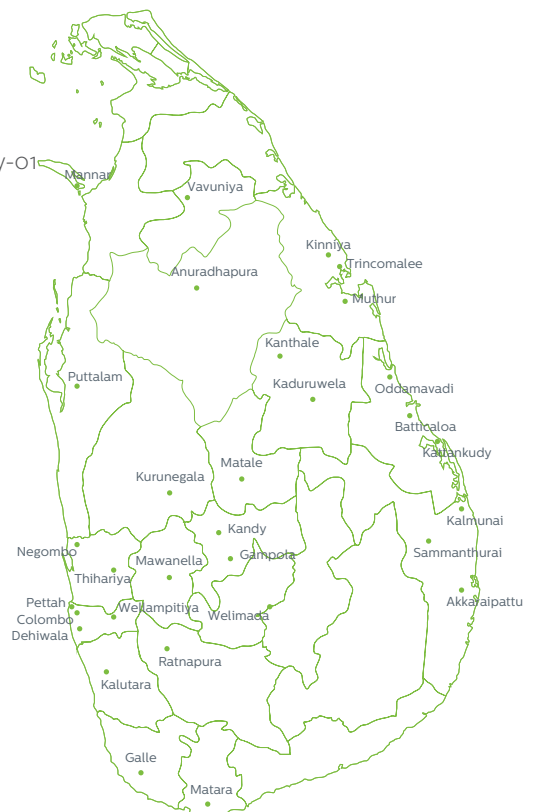
20A, Kal 1st Road, Sammanthurai

30. Thihariya

122/1, Parakumbamahala,
Kandy Road, Thihariya
Kalagedihena

31. Mannar

Pallimunai, Mannar



GLOSSARY

Acquisition Expenses – General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses – Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (Ibnr)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

Claim Outstanding – General Takaful (Insurance) Business

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

General Insurance Business (Generaltakaful)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

Ijara – (Leasing)

A contract under which, the Bank buys and leases out equipment required by its client for a rental fee. The duration of the lease and rental fees are agreed in advance. Ownership of the equipment remains with the Bank and only the usufruct is transferred to the client. The client is gifted the item at the end of the lease period based on a separate understanding taken by the Bank to gift the asset subject to certain conditions.

Insurance Provision – Family Takaful (Long Term)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – General Takaful (Insurance)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000

GLOSSARY

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

Risk-Based Capital

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the holy Prophet Muhammad – Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprises of Shari'ah Scholars or/and well versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the Company on all Shari'ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Solvency Margin – Family Takaful (Life)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long-Term Insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

Solvency Margin – General Takaful (Insurance)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

Surrender

The act of canceling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 07th Annual General Meeting of Amana Takaful Life PLC will be held on 27th June 2023 at 10 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03 via Audio/Video for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2022 and the Report of the Auditors thereon.
2. Appointment of Director, Mr. H. Asita De Silva subsequent to the last Annual General Meeting in terms of Article 24 (2) of the Article of Association of the Company and eligible offers himself for re-election as a Director.
3. Re-election of following Directors by Rotation in terms of Article 24 (7) of the Articles of Association of the Company.
 - a. Mr. A. S. Kassim re-elected as a Director of the Company by rotation.
 - b. Mr. Sharhan Muhseen re-elected as a Director of the Company by rotation.
4. Re-election of following Directors in terms of section 211 of the Companies Act no 7 of 2007.
 - a. Mr. Osman Kassim, who is 70 years of age as a Director. Accordingly, the following resolution to be passed for this purpose, if thought fit.
IT IS HEREBY RESOLVED to re-elect Mr. Osman Kassim, who is 70 years of age as a Director in terms of Section 211 of the Companies Act No. 7 of 2007 and it is specifically declared that the age limit of 70 years in terms of section 210 of the Companies Act shall not apply to the said Mr. Osman Kassim.
 - b. Mr. Krishnamoorthi Ratnam Ravindran, who is over 70 years of age as a Director. Accordingly, the following resolution to be passed for this purpose, if thought fit.
IT IS HEREBY RESOLVED to re-elect Mr. Krishnamoorthi Ratnam Ravindran, who is over 70 years of age as a Director in terms of Section 211 of the Companies Act No. 7 of 2007 and it is specifically declared that the age limit of 70 years in terms of section 210 of the Companies Act shall not apply to the said Mr. Krishnamoorthi Ratnam Ravindran.
5. Re-appointment of Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and to authorize the Directors to determine their remuneration.

By Order of the Board,
AMANA TAKAFUL LIFE PLC



MANAGERS & SECRETARIES (PRIVATE) LTD.

Secretaries
23rd May 2023

Notes:

1. A member entitled to attend and vote at the above meeting is required to complete and submit a pre-registration form in order to ensure participation at the AGM of the Company. Only members of ATLL are entitled to take part at the AGM of ATLL.
2. A Pre-registration form is enclosed for this purpose to be completed by ATLL Shareholders only.
3. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
4. A form of proxy is enclosed for this purpose.
5. The instruments for registration and appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atlife@takaful.lk" not less than forty eight hours prior to the time appointed for holding the meeting.

NOTES

FORM OF PROXY

I/We the undersigned.....
 bearing NIC No, of

 being a member/members of Amana Takaful Life PLC, hereby appoint

- Full name of proxy -
- NIC of Proxy -
- Address of Proxy -
- Contact Numbers - Land, Mobile
 E-mail address

Failing him

Mr. A.S.Kassim	of Colombo or failing him
Mr. G. S. Rajapakse	of Colombo or failing him
Mr. O. Kassim	of Colombo or failing him
Mr. M. H. S. Kassim	of Colombo or failing him
Mr. S. Muhseen	of Colombo or failing him
Mr. K. R. Ravindran	of Colombo or failing him
Mrs. Shehara De Silva	of Colombo or failing her
Mr. S. M. Paranawithana	of Colombo or failing him
Mr. H. A. De Silva	of Colombo

as my/our proxy to represent me/us and * to vote for me/us on my/our behalf at the Annual General Meeting 2022 to be held on 27th June 2023 Via Audio/video at 10.00 a.m. and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Please mark your preference with "X".

	For	Against
1. To, receive and consider the Annual Report of the Board of Directors for the year ended 31st December 2022 and the Report of the Auditors.		
2. To elect Mr. H. Asita De Silva as a Director of the Company.		
3. To Re-elect Mr. A. S. Kassim as a Director of the Company.		
4. To Re-elect Mr. Sharhan Muhseen as a Director of the Company.		
5. To Re- elect Mr. Osman Kassim as a Director of the Company, who is 70 years of age.		
6. To Re- elect Mr. K. R. Ravindran as a Director of the Company, who is over 70 years of age.		
7. To re-appoint the retiring auditors M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize Directors to determine their remuneration.		

As witness my/our hands this day of 2023

.....
 Signature

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the form of proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC No. and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the form of proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atlife@takaful.lk" not later than 48 hours prior to the time appointed for holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company or email as above noted.